

Active protection from digital risk

Coalition pioneered Active Insurance to proactively protect your business against cyber threats. That's why our policyholders experience **73% fewer claims** than the industry average.¹



 **Comprehensive cyber coverage** to protect against incidents like ransomware and funds transfer fraud²

 **Upfront expenses paid on your behalf**, so you can skip the wait for reimbursement³

 **A top-notch team** of claims experts and incident response specialists at the ready

 **No-cost rapid response services**, including initial legal consultation and incident response assistance

 **Personalized security alerts** to help spot and fix vulnerabilities *before* they escalate.

 **Tangible insurance benefits** for maintaining good cyber hygiene. [Learn More.](#)



\$101M+
in fraudulently transferred funds **successfully recovered** by Coalition¹



60%
average **reduction in ransomware demands** through threat actor negotiation¹

"Coalition helped us rebuild our business and went above and beyond typical insurance. The professionalism and skill level was outstanding."

SYSTEMS ADMINISTRATOR, REAL ESTATE DEVELOPMENT RANSOMWARE VICTIM

¹ Coalition, 2025 Cyber Claims Report

² Insurance products are offered in the U.S. by Coalition Insurance Solutions Inc.), a licensed insurance producer and surplus lines broker, (Cal. license # 0L76155) acting on behalf of a number of unaffiliated insurance companies, and on an admitted basis through Coalition Insurance Company, a licensed insurance underwriter (NAIC # 29530). See licenses and disclaimers.

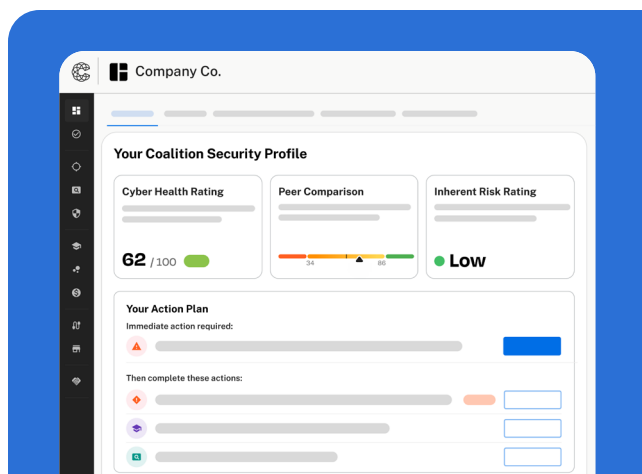
³ Only covered upfront claims expenses will be paid. Coverage is subject to and governed by the language of the policy as actually issued. Please see a copy of your policy for the full terms and conditions. Exclusions and limitations apply, and may vary by state.

✓ INCLUDED WITH YOUR POLICY

Coalition Control®

Easily spot and stop cyber threats in one place

Meet the cyber risk platform that provides simple insights and a clear, actionable plan.



Understand your evolving security posture



Stay on top of new threats with ongoing monitoring



Reduce your cyber risk with expert guidance

Get started at coalitioninc.com/control or ask your broker for an invitation

ADDITIONAL SECURITY SOLUTIONS

Add security services to enhance policy terms



Managed Detection & Response → Up to 12.5% premium credit¹



Security Awareness Training → \$100k added to Funds Transfer Fraud sublimit²

Learn more at coalitioninc.com/security →

¹Premium credit eligibility is determined during the quote or renewal process and is based on underwriting factors, including risk profile. Exclusions and limitations apply; see [Terms of Service](#). Customers with MDR other than Coalition's MDR product may be eligible for a MDR premium credit; contact MDRsales@coalitioninc.com for more information.

²Eligibility for increased coverage benefits, including Funds Transfer Fraud coverage, requires that the policyholder purchases Security Awareness Training at the time of policy bind or renewal and depends on risk profile, underwriting approval and other qualifications determined at the time of quote or renewal. Limitations and exclusions apply; see [Terms](#) for more details.



Notice

The insurer which has issued this insurance is not licensed by the Pennsylvania Insurance Department and is subject to limited regulation. This insurance is NOT covered by the Pennsylvania Insurance Guaranty Association.



POLICYHOLDER DISCLOSURE
NOTICE OF TERRORISM INSURANCE COVERAGE

Coverage for acts of terrorism is included in your policy. You are hereby notified that the Terrorism Risk Insurance Act of 2002, as amended in 2019, defines an act of terrorism in Section 102(1) of the Act: The term “act of terrorism” means any act or acts that are certified by the Secretary of the Treasury—in consultation with the Secretary of Homeland Security, and the Attorney General of the United States—to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion. Under your coverage, any losses resulting from certified acts of terrorism may be partially reimbursed by the United States Government under a formula established by the Terrorism Risk Insurance Act, as amended. However, your policy may contain other exclusions which might affect your coverage, such as an exclusion for nuclear events. Under the formula, the United States Government generally reimburses 80% beginning on January 1, 2020, of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage. The Terrorism Risk Insurance Act, as amended, contains a \$100 billion cap that limits U.S. Government reimbursement as well as insurers’ liability for losses resulting from certified acts of terrorism when the amount of such losses exceeds \$100 billion in any one calendar year. If the aggregate insured losses for all insurers exceed \$100 billion, your coverage may be reduced.

The portion of your annual premium that is attributable to coverage for acts of terrorism is \$0 and does not include any charges for the portion of losses covered by the United States government under the Act.

UNDER THE TERRORISM RISK INSURANCE ACT, AS AMENDED, ANY LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM UNDER THIS POLICY COVERAGE MAY BE PARTIALLY REIMBURSED BY THE UNITED STATES GOVERNMENT AND MAY BE SUBJECT TO A \$100 BILLION CAP THAT MAY REDUCE MY COVERAGE.



Notice of Privacy Practices

Effective 1 November 2024

Coalition, Inc. and its current and future subsidiaries and affiliates, including Coalition Insurance Solutions, Inc. (“**CIS**”), Coalition Insurance Solutions Canada, Inc. (“**CISC**”), Coalition Incident Response, Inc. (“**CIR**”), Coalition Incident Response Canada, Inc. (“**CIRC**”), Coalition Risk Solutions, Ltd. (“**Coalition UK**”), Coalition Insurance Company, Inc. (“**CIC**”), BinaryEdge AG (“**BE**”), Coalition Insurance Solutions GmbH (“**Coalition DE**”), and Coalition Insurance Solutions Pty Ltd (ACN 657 140 791) (“**Coalition AU**”) (collectively, “**Coalition**,” “**we**,” or “**our**”) is required to provide this Notice of Privacy Practices (“**Notice**”) in accordance with applicable laws and regulations. This Notice outlines how we collect, share and protect your personal information. Applicable laws and regulations may give you the right to limit some but not all sharing of your personal information. Please read this Notice carefully.

Information We May Collect and Share	• Information required to create and maintain your account • Information pertaining to your application, policy and any applicable claims • Financial Information • We also collect information from others, such as credit bureaus and other companies
How is Information Collected?	When you use our websites, online risk management platform, applications (web-based or mobile), products and/or services (“ Services ”), we may collect a variety of personal information that will aid us in providing our Services
Why is Information Shared?	For our everyday business and marketing purposes
Can I Limit Sharing of My Information?	Applicable privacy laws may give you the right to limit: • Sharing for affiliates' everyday business purposes - information about your creditworthiness • Affiliates from using your personal information to market to you • Sharing for nonaffiliates to market to you. Coalition does not share information with affiliates so they can market to you.
How Does Coalition Protect My Information?	We use security measures compliant with applicable laws, regulations and industry standards to protect your information from unauthorized access and use. These measures include physical, electronic and

	procedural safeguards, security controls (including encryption, firewalls, advanced malware detection, multi-factor authentication and the concept of least privilege for access management).
Definitions	Affiliates: companies related by common ownership or control.
Privacy Policy	Please visit https://www.coalitioninc.com/legal/privacy for further information related to our processing of information.
Questions?	Please visit https://www.coalitioninc.com or email us at privacy@coalitioninc.com

Coalition Active Cyber Policy

DECLARATIONS

NOTICE: YOUR POLICY CONTAINS CLAIMS-MADE AND REPORTED COVERAGE. CLAIMS-MADE AND REPORTED COVERAGE APPLIES ONLY TO CLAIMS FIRST MADE AGAINST YOU DURING THE POLICY PERIOD (OR ANY APPLICABLE OPTIONAL EXTENDED REPORTING PERIOD) AND REPORTED TO US IN ACCORDANCE WITH THE TERMS OF THIS POLICY. CLAIM EXPENSES REDUCE THE APPLICABLE LIMITS OF LIABILITY, ARE SUBJECT TO RETENTIONS, AND MAY EXHAUST THE APPLICABLE LIMITS OF LIABILITY.

PLEASE READ YOUR POLICY CAREFULLY, AND CONSULT YOUR INSURANCE ADVISOR WITH ANY QUESTIONS.

Policy No.: C-4LPY-051792-CYBER-2026
Renewal of: C-4LPY-051792-CYBER-2025
Broker: RSG Specialty, LLC
Broker License No.: 575134
Agency: RT Specialty
Agency Address: 155 North Wacker Drive, Suite 4000
Chicago, IL 60606

Item 1.	Named Insured	Foundation for Free Enterprise Education	
	Address	3076 West 12th Street Erie, PA 16505	
Item 2.	Policy Period	From: January 01, 2026 To: January 01, 2027 <i>Both dates at 12:01 A.M. at the Address stated in Item 1.</i>	
Item 3.	Policy Premium	Premium	\$1,445.00
		<i>Policy Fee (Non-Commissionable)</i>	\$100.00
		<i>Broker Fee</i>	\$250.00
		<i>PA Surplus Lines Tax (3%)</i>	\$43.35
		<i>PA Stamping Fee</i>	\$20.00
		Total	\$1,858.35
Item 4.A	Aggregate Policy Limit of Liability		\$1,000,000
Item 4.B	Per Event Limit of Liability		\$1,000,000
Item 4.C	Optional Separate Limit of Liability for Breach Response Costs		Included
Item 5.	Insuring Agreement(s) purchased, Limits, Retentions, and Waiting Period		
	Coverage under this Policy is provided only for those Insuring Agreements for which a limit is indicated below. If no limit is shown for an Insuring Agreement, such Insuring Agreement is not provided by this Policy. The Aggregate Policy Limit of Liability in Item 4.A is the maximum amount the Insurer(s) will pay under this Policy, regardless of the number of Insuring Agreements purchased.		

If the Optional Separate Limit of Liability for Breach Response Costs has been elected in Item 4.C, then the Limit specified in Item 5.B Breach Response Costs will not be subject to the Aggregate Policy Limit of Liability or the Per Event Limit of Liability.		
Insuring Agreements		
FIRST PARTY COVERAGES		
ACTIVE RISK CONTROL COVERAGES	LIMIT	RETENTION
A. Rapid Response Services	<i>Rapid Response Services are not subject to a Retention and will not erode the Aggregate Policy Limit of Liability.</i>	
B. Breach Response Costs	\$1,000,000	\$5,000 \$0 for computer forensic services provided by Coalition Incident Response
C. Ransomware and Cyber Extortion	\$1,000,000	\$5,000
D. Data Recovery and Computer Replacement Costs	\$1,000,000	\$5,000
BUSINESS INTERRUPTION COVERAGES	LIMIT	RETENTION
E. Direct Business Interruption Waiting Period: 8 hours Reduced Waiting Period: 1 hour		
• Security Failure	\$1,000,000	\$5,000
• Systems Failure	\$1,000,000	\$5,000
• Voluntary Shutdown	\$1,000,000	\$5,000
F. Contingent Business Interruption Waiting Period: 8 hours		
• IT Provider Security Failure	\$1,000,000	\$5,000
• IT Provider Systems Failure	\$1,000,000	\$5,000
• Non-IT Provider Security Failure	\$500,000	\$5,000
• Non-IT Provider Systems Failure	\$250,000	\$5,000
• Voluntary Shutdown	\$1,000,000	\$5,000
G. Reputational Harm Loss	\$1,000,000	\$5,000
H. Proof of Loss Preparation	\$250,000	\$5,000
CYBER CRIME COVERAGES	LIMIT	RETENTION
I. Funds Transfer Fraud and Social Engineering	\$250,000	\$25,000 <i>Reduced FTF Retention:</i> \$12,500
J. Service Fraud Including	\$100,000	\$5,000

	Cryptojacking		
	K. Impersonation Repair	\$250,000	\$5,000
	L. Invoice Manipulation	\$250,000	\$5,000
	THIRD PARTY LIABILITY COVERAGES		
	CYBER LIABILITY COVERAGES	LIMIT	RETENTION
	M. Network Security and Privacy Liability	\$1,000,000	\$5,000
	N. Regulatory Actions	\$1,000,000	\$5,000
	O. PCI Fines and Assessments	\$1,000,000	\$5,000
	P. Funds Transfer Liability	\$1,000,000	\$5,000
	TECHNOLOGY E&O AND MEDIA LIABILITY COVERAGES	LIMIT	RETENTION
	Q. Technology Errors and Omissions	N/A	N/A
	R. Media Liability	\$1,000,000	\$5,000
	ADDITIONAL BENEFITS		
	S. Court Attendance	i. Total Limit: \$25,000 ii. Per day, per person limit: \$250	\$0
	T. Criminal Reward	\$25,000	\$0
Item 6.	Prevention and Mitigation Costs	\$360 See Section IX.G. Prevention and Mitigation Costs of the Policy for more details.	
Item 7.	Insurer(s) and Participation		
	Insurer		Participation
	Arch Specialty Insurance Company		30%
	Aspen Specialty Insurance Company		10%
	Fireman's Fund Indemnity Corporation		20%
	Fortegra Specialty Insurance Company		35%
	Vantage Risk Specialty Insurance Company		5%
	The obligations of each Insurer in Item 7 of this Declarations are limited to the extent of each insurer's participation.		
Item 8.	Notification of Incidents, Claims, or Potential Claims	By Email: Attn: Coalition Claims claims@coalitioninc.com	
		By Phone on the 24/7 Hotline: 1.833.866.1337	
		By Mail: Attn: Coalition Claims 44 Montgomery Street, Suite 4210	

		San Francisco, CA 94104
Item 9.	Retroactive Date	Full Prior Acts Coverage
Item 10.	Continuity Date	January 01, 2023
Item 11.	Choice of Law	Pennsylvania
Item 12.	Endorsements and Forms at Inception	
	#	Name of Form or Endorsement
		Coalition Reference #
		DECLARATIONS
		CYUSP-50DC-0125-01
		SIGNATURE PAGE - USA
		CYUSP-00NT-000002-0725-03
		SIGNATURE PAGE ARCH
		CYUSP-00NT-000006-0922-00
		SIGNATURE PAGE FORTEGRA
		CYUSP-00NT-000003-0323-01
		SIGNATURE PAGE VANTAGE
		CYUSP-50NT-000007-0225-01
		SIGNATURE PAGE ASPEN SPECIALTY INSURANCE COMPANY
		CYUSP-50NT-000003-0124-01
		COALITION ACTIVE CYBER POLICY
		CYUSP-50PF-0125-01
	1	QUOTA SHARE ENDORSEMENT
		CYUSP-50EN-000085-0125-01
	2	SERVICE OF SUIT ENDORSEMENT
		CYUSP-50EN-000090-0125-02
	3	CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM
		CYUSP-50EN-000109-0125-01
	4	DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT
		CYUSP-50EN-000110-0125-01
	5	PENNSYLVANIA CHANGES
		CYUSP-50EN-PA0001-0125-01
	6	SINGLE HIGHEST RETENTION/DEDUCTIBLE ENDORSEMENT/PRO RATA SHARING OF LIMITS COALITION PREFERRED - CYBER & EXECUTIVE RISK
		CYUSP-50EN-000088-0125-01
	7	COALITION ACTIVE INSURED – VANISHING RETENTION ENDORSEMENT
		CYUSP-50EN-000120-0125-01
	8	RENEWAL LIBERALIZATION CLAUSE ENDORSEMENT
		CYUSP-50EN-000112-0125-01



Coalition Insurance Solutions, Inc.
PA License No. 817452
44 Montgomery Street, Suite 4210
San Francisco, CA 94104

THIS DECLARATION IS ATTACHED TO AND FORMS PART OF THE POLICY.

IN WITNESS WHEREOF, WE HAVE CAUSED THIS POLICY TO BE SIGNED OFFICIALLY BELOW.

A handwritten signature in black ink, appearing to read "JL Mott", is written over a horizontal line.

Authorized Representative

December 23, 2025

Date

Coalition Insurance Solutions, Inc.



Coalition Insurance Solutions, Inc.
PA License No. 817452
44 Montgomery Street, Suite 4210
San Francisco, CA 94104

IN WITNESS WHEREOF, Fireman's Fund Indemnity Corporation has caused this policy to be signed by its President and Secretary.

A handwritten signature in blue ink, appearing to be 'SA', written above a horizontal line.

President

A handwritten signature in blue ink, appearing to be 'Ellen Forte', written above a horizontal line.

Secretary



Coalition Insurance Solutions, Inc.
PA License No. 817452
44 Montgomery Street, Suite 4210
San Francisco, CA 94104

IN WITNESS WHEREOF, Arch Specialty Insurance Company has caused this policy to be executed and attested.

A handwritten signature in black ink, reading 'Brian D. First'.

Brian D. First
President

A handwritten signature in black ink, reading 'Regan A. Shulman'.

Regan Shulman
Secretary



Coalition Insurance Solutions, Inc.
PA License No. 817452
44 Montgomery Street, Suite 4210
San Francisco, CA 94104

IN WITNESS WHEREOF, Fortegra Specialty Insurance Company has caused this policy to be signed by its President and Secretary at Jacksonville, Florida, and countersigned on the declarations page by a duly authorized representative of the named insured.

A handwritten signature in black ink, appearing to read "RJ 515", written over a horizontal line.

President

A handwritten signature in black ink, appearing to read "John C. East", written over a horizontal line.

Secretary



Coalition Insurance Solutions, Inc.
PA License No. 817452
44 Montgomery Street, Suite 4210
San Francisco, CA 94104

In witness whereof, Vantage Risk Specialty Insurance Company has caused this policy to be signed by its secretary and president.

A handwritten signature in blue ink that reads 'Bobbi Anderson'.

Bobbi Anderson, Secretary

A handwritten signature in blue ink that reads 'Greg Hendrick'.

Greg Hendrick, President



Coalition Insurance Solutions, Inc.
PA License No. 817452
44 Montgomery Street, Suite 4210
San Francisco, CA 94104

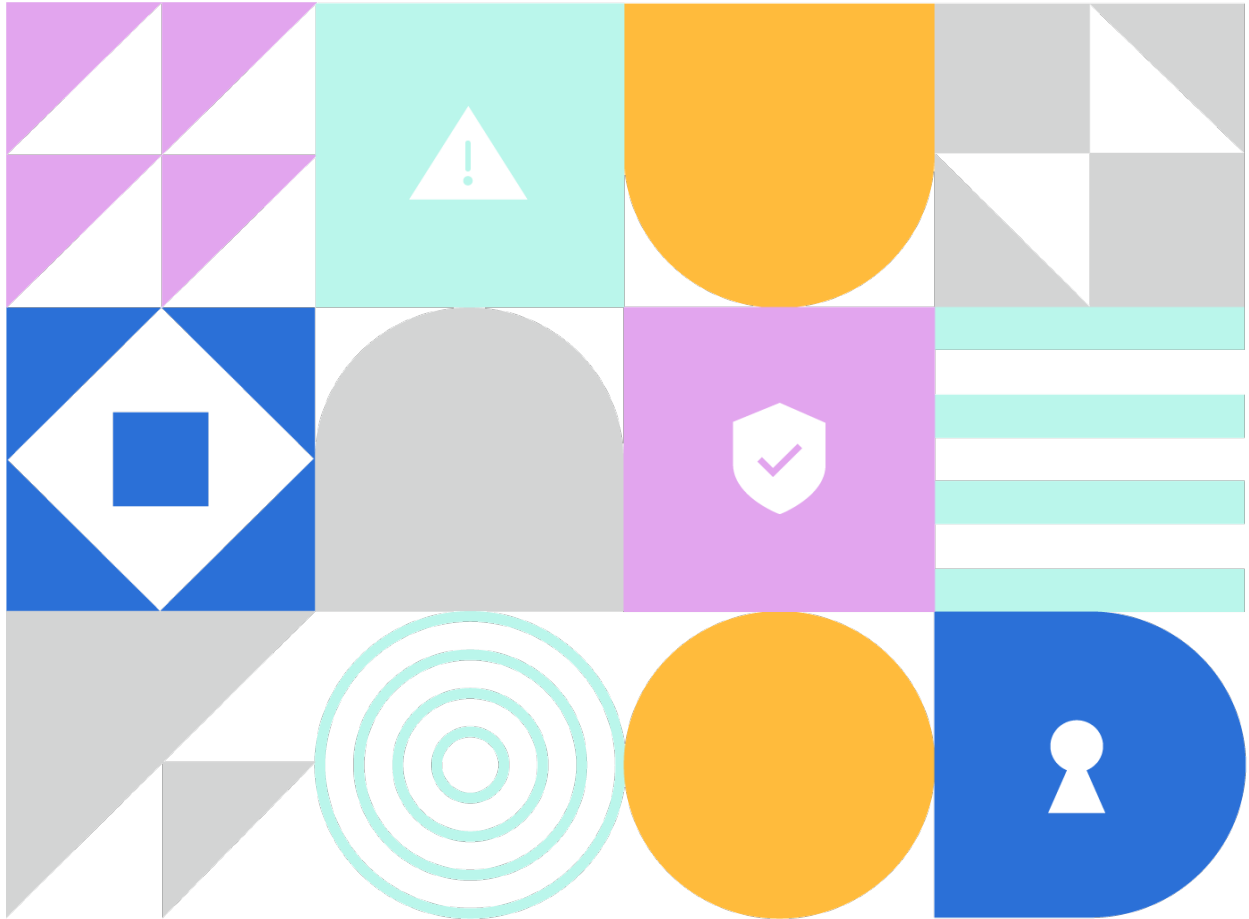
IN WITNESS WHEREOF, Aspen Specialty Insurance Company has caused this policy to be signed by its President and Secretary.

A handwritten signature in cursive script, appearing to read 'Bruce Ealy', positioned above a horizontal line.

President

A handwritten signature in cursive script, appearing to be a stylized 'M', positioned above a horizontal line.

Secretary



Coalition Active Cyber Policy

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Coalition Active Cyber Policy

As an active Coalition policyholder, the **Named Insured** is provided access to **Coalition Control**® to help detect, assess, and mitigate cyber risk.

Visit <https://www.coalitioninc.com/control> to access **Coalition Control**.

Please note that certain bolded terms in this Policy are defined in Section II. Definitions and have special meaning. These terms may appear in singular or plural forms, depending on the context. Throughout the Policy, “we,” “us,” and “our” refer to Coalition Insurance Services and the insurer(s) providing this insurance, and “Declarations” refers to the Coalition Active Cyber Policy Declarations.

This Policy applies only to the Insuring Agreements and coverages purchased by the **Named Insured**, as specified in Item 5 of the Declarations.

In consideration of the payment of the premium and in reliance upon all statements and information in the **application**, and subject to the Declarations, applicable Limits of Liability and Retention(s), as well as all terms, conditions, limitations, and other provisions of this Policy (including any endorsements), we agree with the **Named Insured** as follows:

Section I. Insuring Agreements

First Party Coverages

Insurance provided under First Party Coverages applies to **incidents** first discovered by **you** during the **policy period** and reported to us in accordance with the terms of this Policy.

Active Risk Control Coverages

A. Rapid Response Services

We will provide the **Insured Organization** with the following services at no cost in response to an actual or suspected **security failure, data breach, cyber extortion, funds transfer fraud, or impersonation fraud**, first discovered by **you** during the **policy period**:

1. access to the 24/7 Hotline specified in Item 8 of the Declarations;
2. two-hour legal consultation with a law firm from our **panel providers**; and
3. initial consultation, advice, remote support, and assistance from Coalition Incident Response.

The above “Rapid Response Services” are not subject to a retention and will not erode the Aggregate Policy Limit of Liability.

Rapid Response Services do not include the costs and expenses of any service covered under any other First Party Coverages in this Policy. If Coalition Incident Response is not available to provide the services described in part 3 of this Insuring Agreement, these services will be provided by a **panel provider**. The services provided in part 3 of this Insuring Agreement shall not exceed two hours, and any ongoing assistance thereafter will be considered **breach response costs** and are subject to the applicable Limit of Liability.

B. Breach Response Costs

We will pay on behalf of the **Insured Organization** for **breach response costs** resulting from an actual or suspected **security failure** or **data breach** first discovered by **you** during the **policy period**.

C. Ransomware and Cyber Extortion

We will pay on behalf of the **Insured Organization** for **cyber extortion expenses** resulting from **cyber extortion** first discovered by **you** during the **policy period**.

D. Data Recovery and Computer Replacement Costs

We will pay on behalf of the **Insured Organization** for **data recovery and computer replacement costs** that the **Insured Organization** incurs resulting from a **security failure** first discovered by **you** during the **policy period**.

Business Interruption Coverages

E. Direct Business Interruption

We will pay **business interruption loss** sustained, and **extra expenses** incurred, by the **Insured Organization** during the **indemnity period** directly resulting from a **service disruption** for a period longer than the **waiting period** caused by a:

1. **security failure**;
2. **systems failure**; or
3. **voluntary shutdown**;

provided, such **service disruption** first occurs during the **policy period**.

However, a **reduced waiting period** specified in Item 5 of the Declarations will apply to any interruption of the **Insured Organization's** business operations resulting from a **service disruption** caused by a **denial of service attack**, if, at the time of the attack, the **Insured Organization** is utilizing a DDoS Mitigation Provider from our list of **panel providers** to mitigate its effect.

F. Contingent Business Interruption

We will pay **business interruption loss** sustained, and **extra expenses** incurred, by the **Insured Organization** during the **indemnity period** directly resulting from a **service disruption** for a period longer than the **waiting period** caused by an:

1. **IT Provider security failure**;
2. **IT Provider systems failure**;
3. **Non-IT Provider security failure**;
4. **Non-IT Provider systems failure**; or
5. **voluntary shutdown**;

provided, such **service disruption** first occurs during the **policy period**.

G. Reputational Harm Loss

We will pay for **reputational harm loss** sustained by the **Insured Organization** directly resulting from an **adverse publication** first published during the **policy period**, specifically concerning a **security failure**, **systems failure**, **data breach**, **cyber extortion**, or **privacy liability** first discovered by **you** during the **policy period**.

H. Proof of Loss Preparation

We will pay **proof of loss preparation expenses** on behalf of the **Insured Organization**.

Cyber Crime Coverages

I. Funds Transfer Fraud and Social Engineering

We will pay for **funds transfer loss** incurred by the **Insured Organization** resulting from a **funds transfer fraud** first discovered by **you** during the **policy period**.

A **Reduced FTF Retention** will apply to any **funds transfer fraud** reported to us within 72 hours after the initial transfer of money or securities and in accordance with the terms of this Policy.

J. Service Fraud Including Cryptojacking

We will pay on behalf of the **Insured Organization** for **service fraud loss** resulting from a **security failure** first discovered by **you** during the **policy period**.

K. Impersonation Repair

We will pay **impersonation repair costs** incurred by the **Insured Organization** resulting from an **impersonation fraud** first discovered by **you** during the **policy period**.

L. Invoice Manipulation

We will reimburse the **Insured Organization** for **invoice manipulation loss** incurred by the **Insured Organization** resulting from any **invoice manipulation** first discovered by **you** during the **policy period**.

Third Party Liability Coverages

Insurance provided under Third Party Liability Coverages, is on a claims-made and reported basis and applies only to **claims**: (i) first made against **you** during the **policy period** (or any applicable Optional Extended Reporting Period) for **events** that first occur on or after the **retroactive date** and before the end of the **policy period**; and (ii) reported to us in accordance with the terms of this Policy. **Claim expenses** reduce the applicable Limits of Liability, are subject to retentions, and may exhaust the applicable Limits of Liability.

Cyber Liability Coverages

M. Network Security and Privacy Liability

We will pay on **your** behalf **damages** and **claim expenses** that **you** become legally obligated to pay resulting from a **claim** made against **you** for a **security failure, data breach, or privacy liability**.

N. Regulatory Actions

We will pay on **your** behalf **regulatory loss** and **claim expenses** that **you** become legally obligated to pay resulting from a **claim** made against **you** in the form of a **regulatory proceeding**.

O. PCI Fines and Assessments

We will pay on behalf of the **Insured Organization** any **PCI fines and assessments** and **claim expenses** it is legally obligated to pay, resulting from a **claim** made against **you** for a **data breach** compromising payment card data.

P. Funds Transfer Liability

We will pay on **your** behalf **funds transfer liability loss** and **claim expenses** that **you** become legally obligated to pay resulting from a **claim** made against **you** for a **funds transfer liability**.

Technology E&O and Media Liability Coverages

Q. Technology Errors and Omissions

We will pay on **your** behalf **damages** and **claim expenses** that **you** become legally obligated to pay resulting from a **claim** made against **you** for a **technology wrongful act**.

R. Media Liability

We will pay on **your** behalf **damages** and **claim expenses** that **you** become legally obligated to pay resulting from a **claim** made against **you** for a **media wrongful act**.

Additional Benefits

S. Court Attendance

We will pay **you** for **court attendance costs** up to the Total Limit in Item 5.S.i of the Declarations, subject to the Per day, per person limit in Item 5.S.ii of the Declarations.

T. Criminal Reward

We will pay on behalf of the **Insured Organization** for **criminal reward costs**.

Section II. Definitions

Additional Insured

Means any person or entity that the **Insured Organization** has agreed to add as an additional insured under this Policy through a written contract or agreement, but only if the contract or agreement was executed before the date the **Insured Organization** first committed the alleged acts, errors, or omissions.

Adverse Publication

Means any report or communication to the public through any media format (including television, print media, radio, internet, and social media) by a third party of information previously unavailable to the public, specifically concerning a **security failure, systems failure, data breach, cyber extortion, or privacy liability**.

Multiple **adverse publications** relating to the same **security failure, systems failure, data breach, cyber extortion, or privacy liability** shall be considered a single **adverse publication** and will be deemed to have occurred on the date of the first such **adverse publication**.

AI Security Event

Means the failure of security of the applicable **computer systems, IT Provider computer systems, or Non-IT Provider computer systems**, caused by any malicious use of artificial intelligence technology, including through the use of machine learning or prompt injection exploits.

Application

Means all applications, including any attachments thereto and supplemental information, submitted to us by or on behalf of the **Named Insured** in connection with the underwriting of this Policy.

Betterment Allowance

Means the costs to:

1. upgrade or enhance covered computer software that is damaged, destroyed, lost, altered, or corrupted, with more secure software; and
2. replace computers or any associated equipment or devices with a more secure functionally equivalent item(s).

Provided, however, that the **betterment allowance** cannot exceed an additional 25% of the cost that would have been incurred to restore or replace the covered **digital assets, computers, or associated equipment or devices** to the level or condition which existed prior to the **security failure**.

Breach Notice Law

Means any statute or regulation that requires:

1. notice to individuals whose **personally identifiable information** was, or reasonably likely to have been accessed or acquired by an unauthorized person; or
2. notice to regulatory agencies of such an incident.

Breach Response Costs

Means the following reasonable and necessary costs, fees, and expenses **you** incur with our prior written consent in response to an actual or suspected **security failure or data breach**:

1. for a computer forensic professional to determine the existence, cause, and extent of a **security failure or data breach**;
2. for an attorney to advise **you** on **your** investigation of a **security failure or data breach** and to determine whether **you** are legally obligated under a **breach notice law** to notify individuals or applicable regulatory agencies of such **security failure or data breach**;
3. for an attorney to advise **you** in complying with Payment Card Industry ("PCI") operating regulation requirements for responding to a **data breach** compromising payment card data, and

the related requirements under a merchant service agreement, including a PCI forensic investigator when required under such merchant service agreement;

4. to notify individuals affected or reasonably believed to be affected by such **data breach**, including printing costs, publishing costs, postage expenses, call center costs, and costs of notification via phone or email;
5. to provide government mandated public notices related to such **security failure or data breach**;
6. to provide up to two years (or longer if required by law) of a credit or identity monitoring program, including credit freezing and thawing, to individuals affected by such **data breach**;
7. to provide identity theft restoration services to those individuals affected by such **data breach**;
8. for public relations or crisis management consulting to mitigate reputational harm to the **Insured Organization**;
9. to provide notification of a **security failure or data breach** to individuals on a voluntary basis to minimize potential harm;
10. for media purchasing or for printing or mailing materials intended to inform the general public about the **security failure or data breach** to mitigate reputational harm to the **Insured Organization**;
11. **SEC cybersecurity disclosure costs**; and
12. for other costs we approve in advance at our sole discretion to mitigate or reduce any costs, fees, or expenses that would otherwise be covered under parts 1 - 11 immediately above.

You have our prior consent to incur **breach response costs** under parts 1, 2, and 3 with any firm from our list of **panel providers**. All **breach response costs** must be incurred within two years of **your** first discovery of the actual or suspected **security failure or data breach**.

Business Interruption Loss

Means:

1. the net profit before income taxes that would have been earned had no **service disruption** occurred, or the net loss before income taxes that would not have been incurred had no **service disruption** occurred; plus
2. continuing normal operating expenses (including payroll), but only to the extent that such operating expenses must necessarily continue during the **indemnity period**.

Business Interruption Loss does not include:

- i. net profit likely to have been earned from increased volume due to favorable business conditions caused by network security failures affecting other businesses;
- ii. liability to any third party;
- iii. loss of market or any other consequential loss;
- iv. revenue that is delayed but not lost; or
- v. **loss** covered under any other Insuring Agreement.

Claim

Means:

1. a written demand for monetary or non-monetary relief received by **you**, including the service of a suit or institution of arbitration proceedings;
2. for Section I.N. Regulatory Actions only, a **regulatory proceeding** received by **you**;
3. for Section I.O. PCI Fines and Assessments only, a written demand received by **you** for **PCI fines and assessments**; or
4. a written request received by **you** to toll or waive a statute of limitations applicable to a potential **claim** described in part 1 of this definition.



All **claims** that have a common nexus of fact, circumstance, situation, event, transaction, or cause, or a series of related facts, circumstances, situations, events, transactions, or causes will be considered a single **claim** made against **you** on the date the first such **claim** was made.

Claim Expenses

Means:

1. reasonable and necessary legal fees, expenses, or costs incurred to defend a **claim**, including the investigation, defense and appeal of such **claim**; and
2. any premiums on appeal bonds, provided that we will not be obligated to apply for or furnish such appeal bonds.

Claim expenses does not include:

- i. any compensation, benefit expenses or overhead of, or paid to, any **Insured**; or
- ii. costs to comply with any court or regulatory orders, settlements, or judgments.

Coalition Control

Means Coalition's current version of its proprietary cybersecurity platform designed to help policyholders identify, assess, and mitigate cybersecurity exposures. Current **Coalition Control** offerings include:

1. *External Attack Surface Monitoring* with regular scans and vulnerability reviews to detect risks across a policyholder's external digital footprint, including digital assets, applications and related services, data security threats, business email compromise and other phishing exposures;
2. *Personalized Cyber Risk Assessment* of the policyholder's threat surfaces with guidance on how to remediate vulnerabilities;
3. *Security Alerts* identifying critical vulnerabilities to help protect the policyholder's business;
4. *Integrations* to seamlessly connect with certain cloud-based platforms, enabling a unified view of cyber risk; and
5. *Expert Guidance* provided by Coalition's in-house security team to assist in mitigating identified cyber risk.

Additional services are available to the **Named Insured** through **Coalition Control**. It is at the **Named Insured's** sole discretion to engage such additional services, which may require entering into a written agreement and accepting the attendant fee structure.

Visit: <https://www.coalitioninc.com/security-offerings> for a current list of additional services.

Computer Systems

Means:

1. computers and related peripheral components, including Internet of Things (IoT) devices;
2. systems and applications software, including SCADA and Industrial Control Systems;
3. terminal devices;
4. related communications networks;
5. mobile devices (handheld and other wireless computing devices); and
6. storage and back-up devices;

by which electronic data is collected, transmitted, processed, stored, backed up, or retrieved, and that are:

- i. owned or leased by, and under the operational control of:
 - a. the **Insured Organization**; or
 - b. an **employee, senior executive, or independent contractor**, while such person is acting on behalf of, and within the scope of, the **Insured Organization's** business operations; or

- ii. under the operational control of a third party, but only for providing hosted computer services to the **Insured Organization** pursuant to a written contract between such third party and the **Insured Organization**.

However, **computer systems** do not include part ii of this definition for the coverages provided under Sections I.E. Direct Business Interruption, I.F. Contingent Business Interruption, and I.G. Reputational Harm Loss.

Continuity Date

Means the date specified in Item 10 of the Declarations. If a **subsidiary** is acquired during the **policy period**, the continuity date for that **subsidiary** will be the date the **Named Insured** acquired **management control** over that **subsidiary**.

Court Attendance Costs

Means the reasonable costs and expenses incurred by an **Insured** for attending at our request a trial, hearing, deposition, mediation, arbitration, or other proceeding relating to the defense of any **claim**.

Criminal Reward Costs

Means any amount paid by us to a third party for information that leads to the arrest and conviction of any person(s) responsible for any illegal act which resulted in a covered **loss** under this Policy.

Cyber Extortion

Means:

1. any threat made against **you** to:
 - a. restrict or inhibit access to **computer systems**;
 - b. introduce malicious code into **computer systems**;
 - c. steal, misuse, sell, or disclose **personally identifiable information, digital assets, or third party corporate information** in **your** care, custody, or control, and stored on **computer systems**;
 - d. alter, damage, or destroy any **digital asset**;
 - e. transfer, pay, or deliver any funds or property belonging to **you**, or held by **you** on behalf of others, using **computer systems** without **your** permission, authorization, or consent; or
2. any act related to the continuation or furthering of any action already commenced as specified in part 1 above;

where such threat or act is made for the purpose of demanding payment from **you**.

Cyber Extortion Expenses

Means the following reasonable and necessary costs incurred with our prior written consent to respond to **cyber extortion**:

1. money, securities, Bitcoin, or other virtual currencies paid at the direction and demand of any person committing **cyber extortion**; and
2. any costs incurred to acquire, negotiate, and make or attempt to make the payment in part 1 above.

The value of **cyber extortion expenses** will be determined as of the date **cyber extortion expenses** are paid.

Cyber Operation

Means the use of computer systems by, at the direction of, or under the control of a sovereign state to disrupt, deny, degrade, manipulate or destroy information in a computer system of or in another sovereign state.

Damages

Means a monetary judgment, award, or settlement (including awards of pre- and post-judgment interest) that **you** are legally obligated to pay. **Damages** include any punitive, multiple, or exemplary damages insurable under the law in any applicable jurisdiction where this Policy is construed to most favor coverage for such **damages**.

Damages does not include:

1. costs to comply with orders granting injunctive or equitable relief;
2. liquidated damages, contractual service credits or penalties, but only to the extent such liquidated damages, contractual service credits or penalties exceed the amount for which the **insured** would have been legally liable in the absence of any agreement to pay such liquidated damages, contractual service credits or penalties;
3. civil or criminal fines or penalties, civil or criminal sanctions, payroll or other taxes, or loss of tax benefits;
4. return or offset of fees, charges, or commissions charged by or owed to **you** for goods or services already provided or contracted to be provided;
5. discounts, coupons, prizes, awards, or other incentives offered by **you**;
6. fines, costs, assessments, or other amounts **you** are responsible to pay under a merchant service agreement;
7. **regulatory loss** or **funds transfer liability loss**; or
8. any amounts for which **you** are not liable, or for which there is no legal recourse against **you**.

Data Breach

Means the acquisition, access, theft, or disclosure of **personally identifiable information** or **third party corporate information** in a manner that is unauthorized by **you** including resulting from a **security failure**.

Data Recovery and Computer Replacement Costs

Means the reasonable and necessary costs the **Insured Organization** incurs, with our prior written consent, to:

1. replace, restore, or recreate **digital assets** that are damaged, destroyed, lost, altered, or corrupted: (i) to the level or condition at which such **digital assets** existed prior to the **security failure**; or (ii) with the most current version of **digital assets** if the cost is substantially equivalent to (or less than) the original cost of **digital assets**. If such **digital assets** cannot be replaced, restored, or recreated, then the costs will be limited to the actual, reasonable, and necessary costs incurred to make this determination; and
2. restore or replace bricked computers or any associated equipment or devices owned or leased by the **Insured Organization**, and that are under its operational control, due to the corruption of firmware rendering the devices non-functional for their intended purpose.

Data Recovery and Computer Replacement Costs include a **betterment allowance** for **digital assets** and bricked computers or any associated equipment or devices covered in parts 1 and 2 of this definition.

Data Recovery and Computer Replacement Costs do not include:

- i. the economic or market value of **digital assets**, including trade secrets;
- ii. costs to re-perform any work product contained within **digital assets**;
- iii. costs incurred to acquire or install **digital assets** that did not exist immediately prior to the **security failure**, except as otherwise covered **betterment allowance**; or
- iv. costs incurred to restore or replace computers or any associated equipment or devices to a level beyond which existed immediately prior to the **security failure**, except as otherwise covered **betterment allowance**.

Denial of Service Attack

Means a malicious attack that makes **computer systems** unavailable to their intended users by disrupting the services of a host **you** use by directing an excessive volume of electronic data to that host.

Dependent Business

Means an entity, other than an **Insured**, that provides necessary products or services (other than hosted computer services) to the **Insured Organization** under a written contract with the **Insured Organization**.

An entity will not be considered a **Dependent Business** if it operates as:

1. a public utility (including providers of electricity, power, oil, gas, or water, or telecommunication services);
2. an internet service provider (including providers of internet connectivity);
3. Domain Name System ("DNS");
4. Certificate Authority ("CA"); or
5. a securities or exchange market.

Digital Asset

Means any of **your** electronic data or computer software that resides in **computer systems**.

Employee

Means any person employed by the **Insured Organization** as a permanent, part-time, seasonal, leased, or temporary employee, intern, or volunteer, but only while acting on behalf of, and in the scope of, the business operations of the **Insured Organization**.

Essential Service

Means a service that is essential for the maintenance of vital functions of a sovereign state including but not limited to financial institutions and associated financial market infrastructure, health services, or utility services.

Event

Means an **incident, privacy liability, media wrongful act, technology wrongful act, or funds transfer liability**.

All **events** that have a common nexus of fact, circumstance, situation, transaction, or cause, or a series of related facts, circumstances, situations, transactions, or causes will be considered a single **event** occurring on the date the first such **event** occurred.

Extra Expenses

Means reasonable and necessary expenses incurred by the **Insured Organization** to minimize or avoid **business interruption loss** in excess of those expenses that the **Insured Organization** would have incurred had no **service disruption** occurred.

Provided, however, that such expenses do not exceed the amount of loss that otherwise would have been payable as the applicable **business interruption loss**.

Funds Transfer Fraud

Means a fraudulent instruction transmitted by electronic means, including through social engineering, to **you** or **your** financial institution directing **you** or **your** financial institution to:

1. debit, or to instruct to authorize to debit, an account held by the **Insured Organization**, and to transfer, pay, or deliver money or securities from such account; or
2. transfer or deliver tangible property owned by the **Insured Organization**;

which instruction purports to have been transmitted by **you** or **your** existing vendors, business partners, or clients, and impersonates such party (including through the use of deepfakes), but was transmitted by someone other than **you** or **your** existing vendors, business partners, or clients, and without such party's

knowledge or consent. “Financial institution” does not include any entity, institution, or organization that is an **insured**.

Funds Transfer Liability

Means distribution of fraudulent wire transfer or payment instructions which purport to have been transmitted by **you** and direct **your** existing vendors, business partners, or clients to transfer funds to a third party, but was transmitted by someone other than **you** as the result of a **security failure**.

Funds Transfer Liability Loss

Means a monetary judgment or award that **you** are legally obligated to pay, or a settlement agreed to by **you** and us, because of the transfer of money, securities, or digital currencies by any of **your** existing vendors, business partners, or clients to a third party as the direct result of a **funds transfer liability**.

Funds Transfer Loss

Means:

1. loss of money, securities, or tangible property directly resulting from **funds transfer fraud**; and
2. reasonable and necessary costs, fees, and expenses incurred with our prior written consent to mitigate or reduce the amount of loss covered in part 1 above, including, if necessary, the cost of retaining a third party to pursue a clawback of transferred funds.

Impacted State

Means a sovereign state where a **cyber operation** has had a major detrimental impact on:

1. the functioning of that sovereign state due to disruption to the availability, integrity, or delivery of an **essential service** in that sovereign state; and/or
2. the security or defense of that sovereign state.

Impersonation Fraud

Means fraudulent electronic communications or websites designed to impersonate the **Insured Organization** or any of the **Insured Organization's** products, provided such communications or websites do not arise out of or result from a **security failure**.

Impersonation Repair Costs

Means:

1. the costs to retain a law firm and public relations firm from our **panel providers**, with our prior written consent, to create and publish a press release or establish a website in order to advise the **Insured Organization's** customers and prospective customers of an **impersonation fraud**;
2. the cost to reimburse the **Insured Organization** for payment the **Insured Organization** made to its existing customers for their loss of money or tangible property directly resulting from an **impersonation fraud**; and
3. the costs to retain a third party, with our prior written consent, to remove any websites designed to impersonate the **Insured Organization**.

Incident

Means **adverse publication, cyber extortion, data breach, funds transfer fraud, impersonation fraud, invoice manipulation, IT Provider security failure, Non-IT Provider security failure, IT Provider systems failure, Non-IT Provider systems failure, security failure, service disruption, systems failure, and voluntary shutdown**.

All **incidents** that have a common nexus of fact, circumstance, situation, event, transaction, or cause, or series of related facts, circumstances, situations, events, transactions, or causes will be considered a single **incident** discovered on the date on which the earliest **incident** was first discovered by **you**.

With respect to the Business Interruption Coverages, all such **incidents** will be deemed to have occurred at the time the earliest **incident** was first discovered by **you**, even if such **incident** is deemed to have occurred prior to inception of the **policy period**.

Indemnity Period

Means the period of time that:

1. begins on the date and time the **service disruption** first occurs; and
2. ends on the earlier of the date and time the interruption to the **Insured Organization's** business operations resulting from the **service disruption**: (i) ends; or (ii) could have ended had **you** acted with due diligence and dispatch.

However, in no event will the **indemnity period** exceed 180 days.

Independent Contractor

Means a natural person performing services for the **Insured Organization** under a written contract between that person and the **Insured Organization**, but only for services performed within the normal scope of duties on behalf of the **Insured Organization**.

Insured, You, or Your

Means:

1. the **Insured Organization**;
2. any past, present, or future **employees** and **senior executives**;
3. any **independent contractor**;
4. with respect to the Third Party Liability Coverages only, any **additional insured**, but only for **claims** against such **additional insured** arising solely out of the acts, errors, or omissions of the **Insured Organization**;
5. the estates, heirs, legal representatives, or assignees of any **employee** or **senior executive** in the event of the death, incapacity, insolvency, or bankruptcy of such **employee** or **senior executive**, but only to the extent such **employee** or **senior executive** would otherwise be provided coverage under this Policy; and
6. the spouse, domestic partner, or civil partner of any **employee** or **senior executive**, but solely for their liability resulting from a **claim** against the **employee** or **senior executive**, in their capacity as such.

Insured Organization

Means the **Named Insured** and any **subsidiary**.

Invoice Manipulation

Means the release or distribution of any fraudulent invoice or payment instruction to a third party as a direct result of a **security failure**.

Invoice Manipulation Loss

Means the direct net costs incurred by the **Insured Organization** to provide goods, products, or services to a third party for which the **Insured Organization** is unable to collect payment, because such goods, products, or services were transferred to the third party as the direct result of **invoice manipulation**.

Invoice Manipulation Loss does not include any profit the **Insured Organization** expected to realize as a result of providing such goods, products, or services.

IT Provider Computer Systems

Means:

1. computers and related peripheral components, including Internet of Things (IoT) devices;
2. systems and applications software, including SCADA and Industrial Control Systems;
3. terminal devices;
4. related communications networks;
5. mobile devices (handheld and other wireless computing devices); and

6. storage and back-up devices,

by which electronic data is collected, transmitted, processed, stored, backed up, or retrieved, and that are operated by a third party, but only for providing hosted computer services to the **Insured Organization** pursuant to a written contract between such third party and the **Insured Organization**.

IT Provider Security Failure

Means the failure of security of **IT Provider computer systems** (including an **AI security event**) which results in:

1. loss, alteration, corruption, or damage to software, applications, or electronic data existing in **IT Provider computer systems**;
2. transmission of malicious code into **IT Provider computer systems**;
3. a denial of service attack against **IT Provider computer systems**; or
4. the unauthorized access to or use of **IT Provider computer systems**, including when resulting from password theft.

IT Provider Systems Failure

Means any unintentional and unplanned disruption or failure of **IT Provider computer systems**.

IT Provider systems failure does not include any: (i) disruption or failure of **IT Provider computer systems** resulting from an **IT Provider security failure**; or (ii) failure of hosted computer services that extends beyond the services being provided to the **Insured Organization**.

Loss

Means **breach response costs, business interruption loss, claim expenses, court attendance costs, criminal reward costs, cyber extortion expenses, damages, data recovery and computer replacement costs, extra expenses, funds transfer liability loss, funds transfer loss, impersonation repair costs, invoice manipulation loss, PCI fines and assessments, proof of loss preparation expenses, regulatory loss, reputational harm loss, and service fraud loss.**

Management Control

Means:

1. owning interests representing more than 50% of the outstanding voting shares or securities; or
2. having the authority pursuant to by-laws, charter, or other written agreement to elect, appoint or designate the majority of the board of directors, trustees or members of the management committee or management board or functional equivalent of an entity.

Media Activities

Means the publishing, dissemination, transmission, broadcasting, webcasting, podcasting, display or other distribution of **media content** by or on behalf of the **Insured Organization**, to the public, including any social media authorized by the **Insured Organization**.

Media Content

Means any text, sounds, images, graphics, video, or other communications in any format. **Media content** does not include computer software or the actual goods, products, or services described, referenced, illustrated, or displayed in such **media content**.

Media Wrongful Act

Means any actual or alleged:

1. defamation, libel, slander, trade libel, infliction of emotional distress, outrage, outrageous conduct, or other tort related to disparagement or harm to the reputation or character of any person or organization;
2. violation of the rights of privacy of an individual, including false light and public disclosure of private facts;

3. invasion or interference with an individual's right of publicity, including commercial appropriation of name, persona, voice, or likeness;
4. plagiarism, piracy, or misappropriation of ideas under implied contract;
5. infringement of copyright, domain name, trademark, trade name, logo, title, metatag, slogan, service mark, or service name; or
6. improper deep-linking or framing within electronic content;

committed by **you**, or by any third party for whom **you** are legally liable, in the course of **media activities**.

Named Insured

Means the individual, partnership, entity, or corporation specified in Item 1 of the Declarations, or by endorsement to this Policy.

Non-IT Provider Computer Systems

Means:

1. computers and related peripheral components, including Internet of Things (IoT) devices;
2. systems and applications software, including SCADA and Industrial Control Systems;
3. terminal devices;
4. related communications networks;
5. mobile devices (handheld and other wireless computing devices); and
6. storage and back-up devices;

by which electronic data is collected, transmitted, processed, stored, backed up, or retrieved, and which are operated by any **Dependent Business**. **Non-IT Provider computer systems** do not include **IT Provider computer systems**.

Non-IT Provider Security Failure

Means the failure of security of **Non-IT Provider computer systems** (including an **AI security event**) which results in:

1. loss, alteration, corruption, or damage to software, applications, or electronic data existing in **Non-IT Provider computer systems**;
2. transmission of malicious code into **Non-IT Provider computer systems**;
3. a denial of service attack against **Non-IT Provider computer systems**; or
4. the unauthorized access to or use of **Non-IT Provider computer systems**, including when resulting from the theft of a password.

Non-IT Provider Systems Failure

Means any unintentional and unplanned disruption or failure of **Non-IT Provider computer systems**.

Non-IT Provider systems failure does not include any disruption or failure of **Non-IT Provider computer systems** resulting from: (i) a **Non-IT Provider security failure**; or (ii) the failure of any third party technology or cloud service provider that extends beyond the **Non-IT provider computer systems**.

Panel Providers

Means those firms listed on our website at www.coalitioninc.com/panel.

PCI Fines and Assessments

Means the direct monetary fines and assessments for fraud recovery, operational expenses (including card reissuance fees and notification of cardholders), and case management fees owed by the **Insured Organization** under the terms of a merchant service agreement as a result of a **data breach**. **PCI fines and assessments** will not include any charge backs, interchange fees, discount fees, or other services related fees, rates, or charges.

Personally Identifiable Information

Means information about an individual that is required by any local, state, federal or foreign law or regulation to be protected from unauthorized access, acquisition, or disclosure.

Policy Period

Means the period of time specified in Item 2 of the Declarations, subject to any cancellation prior to the expiration date. The **policy period** specifically excludes any Optional Extended Reporting Period.

Pollutants

Means any solid, liquid, gaseous, biological, radiological or thermal contaminant or irritant including without limitation, smoke, vapor, soot, fumes, acids, alkalis, chemicals, mold, fungi, odors, noise, lead, oil or oil products, radiation, asbestos or asbestos containing products, waste or any electric, magnetic or electromagnetic field of any frequency. **Pollutants** also include, without limitation, materials to be recycled, reconditioned, or reclaimed.

Privacy Law

Means any local, state, federal, or foreign law, statute, or regulation that requires entities that collect, process, use, or maintain **personally identifiable information** to adopt specific privacy or security controls, maintain a publicly accessible privacy policy, or notify individuals if their **personally identifiable information** has potentially been compromised.

Privacy Liability

Means **your** actual or alleged:

1. failure to timely disclose a **security failure** or **data breach** resulting in a violation of any **breach notice law**;
2. failure to comply with those provisions in the **Insured Organization's privacy policy** that specifically:
 - a. state the procedures in place to prevent the loss of **personally identifiable information**;
 - b. prohibit or restrict the collection, disclosure, sharing, or selling of an individual's **personally identifiable information**; or
 - c. requires **you** to give access to **personally identifiable information** or to amend, delete, or change **personally identifiable information** after a request is made by the concerning individual;

provided that the **Insured Organization** had, at the time of such failure, a **privacy policy** addressing parts 2.a – 2.c that are relevant to the **claim**;

3. violation of a **privacy law** regarding the collection, disclosure, sharing, selling, or use of **personally identifiable information**; or
4. failure to administer an identity theft prevention program or an information disposal program pursuant to the Fair Credit Reporting Act (FCRA), 15 U.S.C. § 1681, as amended, or any similar state or federal law.

Privacy Policy

Means the **Insured Organization's** public written policies governing the collection, use, disclosure, sharing, dissemination, and correction or supplementation of, and access to, **personally identifiable information**.

Proof of Loss Preparation Expenses

Means reasonable and necessary costs **you** incur, with our prior written consent, for a third-party forensic accounting firm to prepare a proof of loss for **business interruption loss**, **reputational harm loss**, and **extra expense** as required by Section VI.E. Proof of Loss.

Reduced FTF Retention

Means the amount specified in Item 5 of the Declarations.

Reduced Waiting Period

Means the number of hours specified in Item 5 of the Declarations.

Regulatory Loss

Means any civil monetary fines or penalties imposed in a **regulatory proceeding**, including any monetary amount **you** must deposit in a consumer redress fund due to an adverse judgment or settlement of a **regulatory proceeding**. The insurability of these fines and penalties is determined by the law in any applicable jurisdiction where this Policy is construed to most favor coverage for such **regulatory loss**.

Regulatory loss does not include costs to comply with orders granting injunctive or equitable relief, including costs to establish or improve privacy or security practices, or costs related to audit, reporting, or compliance.

Regulatory Proceeding

Means a request for information, civil investigative demand, or civil proceeding commenced by serving a notice, complaint, or similar pleading, brought or made by any local, state, federal, or foreign governmental entity in such entity's regulatory or official capacity, arising from a **security failure, data breach, or privacy liability**. A **regulatory proceeding** does not include any criminal demands, requests, proceedings or investigations.

Reputational Harm Loss

Means the net profit before income taxes that would have been earned during the **reputational indemnity period** if no **adverse publication** had occurred, or the net loss before income taxes that would not have been incurred during the **reputational indemnity period** if no **adverse publication** had occurred.

Reputational harm loss does not include:

1. liability to any third party;
2. legal expenses, fees, or costs of any type;
3. **business interruption loss** or **extra expenses**;
4. net profit before income taxes that would likely have been earned from increased volume due to favorable business conditions caused by the impact of network security failures or data privacy events impacting other businesses;
5. revenue that is delayed but not lost; or
6. loss of market or other consequential loss.

Reputational Indemnity Period

Means the 180 day period that begins on the date the **adverse publication** is first published.

Retroactive Date

Means the date specified in Item 9 of the Declarations.

SEC Cybersecurity Disclosure Costs

Means:

1. legal fees and expenses to:
 - a. advise whether an actual or reasonably suspected **security failure** or **data breach** should be reported as a material cybersecurity incident on Form 8-K (or Form 6-K for foreign private issuers);
 - b. prepare and file such Form 8-K or Form 6-K disclosing the material cybersecurity incident, including any required amendments thereto; and
2. filing fees related to part 1.b of this definition;

pursuant to the Securities Exchange Act of 1934, as amended.

Security Failure

Means the failure of security of **computer systems** (including an **AI security event**) which results in:

1. loss, alteration, corruption, or damage to software, applications, or electronic data existing in **computer systems**;
2. transmission of malicious code to **computer systems** or from **computer systems** to third party computer systems that are not owned, operated, or controlled by the **Insured Organization**;
3. a **denial of service attack**; or
4. the unauthorized access to or use of **computer systems**, including when resulting from stolen credentials.

Senior Executive

Means any partner, principal, director, executive board member, in-house counsel, risk manager, chief information officer, chief information security officer, chief privacy officer, chief financial officer, chief executive officer, chief operating officer, or functional equivalent, but only while acting on behalf of, and in the scope of, the business operations of the **Insured Organization**.

Service Disruption

Means the interruption of the **Insured Organization's** business operations resulting from:

1. with respect to Section I.E. Direct Business Interruption, the partial or complete interruption of **computer systems**; or
2. with respect to Section I.F. Contingent Business Interruption, the partial or complete interruption of the applicable **IT Provider computer systems** or **Non-IT Provider computer systems**.

Service Fraud Loss

Means the unauthorized use of **computer systems** by a third party (including for cryptojacking) that directly results in additional charges incurred by the **Insured Organization** for electricity, natural gas, oil, internet use, software as a service (SaaS), platform as a service (PaaS), infrastructure as a service (IaaS), network as a service (NaaS), voice over internet protocol, or telephony services.

However, **service fraud loss** includes only those additional charges:

1. which are billed to the **Insured Organization** in a billing statement pursuant to a written contract or agreement with the **Insured Organization** that was executed before the unauthorized use of **computer systems** first occurred; and
2. are not charged as a flat fee that does not scale with the rate or use of the respective utility or service provider.

Subsidiary

Means:

1. any entity that on or before the inception date of this Policy the **Named Insured**, directly or indirectly has **management control**, and for which the **Named Insured** has recognized the annual gross revenues of such entity in the **application** for this Policy;
2. any entity that during the **policy period**, the **Named Insured** acquires **management control**, provided that the annual gross revenues of such acquired entity do not exceed 20% of the **Insured Organization's** annual gross revenues; and
3. any entity that during the **policy period**, the **Named Insured** acquires **management control** whose annual gross revenues exceed 20% of the **Insured Organization's** annual gross revenues, but only for 90 days after the **Insured Organization** gains **management control** or until the end of the **policy period**, whichever is earlier. Coverage beyond such period will only be available if:
 - a. the **Named Insured** provides us written notice of the full particulars of such acquired entity within 90 days after the **Insured Organization** gains **management control** over such entity;
 - b. we agree to amend this Policy by endorsement to add such entity as a **subsidiary**; and
 - c. **you** agree to any additional premium and amendments to this Policy relating to such acquired entity.

An entity ceases to be a **subsidiary** on the date that the **Named Insured** ceases to have **management control** over such entity.

Systems Failure

Means any unintentional and unplanned disruption or failure of **computer systems**.

Systems failure does not include any disruption or failure of **computer systems** resulting from: (i) a **security failure** or the failure of computer security of any third party's computer system; or (ii) the failure of any third party technology or cloud service provider that extends beyond the **Insured Organization's computer systems**.

Technology Products

Means computer or telecommunications hardware or software products, or related components or products (including software updates, service packs, and other maintenance releases for such products) that are:

1. created, designed, or manufactured by the **Insured Organization** for others; or
2. distributed, sold, licensed, or leased by the **Insured Organization** to others.

Technology Services

Means computer and electronic technology services, including data backup and processing, Internet and mobile services, email services, Software as a Service (SaaS), Platform as a Service (PaaS), Infrastructure as a Service (IaaS), Network as a Service (NaaS), data and application hosting, computer systems analysis, technology and security consulting and training, custom software programming, computer and software systems installation and integration, computer and software support, and network management services, performed by the **Insured Organization** for others.

Technology Wrongful Act

Means any actual or alleged negligent act, error, omission, misstatement, misleading statement, breach of duty, or unintentional breach of a contractual obligation by **you**, or by any other person for whom the **Insured Organization** is legally responsible:

1. in the performance of or failure to perform **technology services**; or
2. that results in:
 - a. the failure of **technology products** to perform as intended; or
 - b. software copyright infringement by **you** with respect to **technology products**.

Third Party Corporate Information

Means any confidential or proprietary business information of a third party that is:

1. in **your** care, custody, or control;
2. not available to the general public; and
3. for which **you** are contractually or legally obligated to maintain in confidence.

However, **third party corporate information** does not include **personally identifiable information**.

Voluntary Shutdown

Means:

1. with respect to Section I.E. Direct Business Interruption, the voluntary shutdown of **computer systems** by **you** after the discovery of a **security failure** or **systems failure**, with our prior consent, to mitigate **loss** that would otherwise be covered under Section I.E. Direct Business Interruption;
2. with respect to Section I.F. Contingent Business Interruption, the voluntary shutdown by **you** of **your** access or connectivity to **IT Provider computer systems**, with our prior consent, but only:
 - a. in response to an actual and on-going **IT Provider security failure**; and

- b. to the extent necessary to mitigate **loss** that would otherwise be covered under Section I.F. Contingent Business Interruption.

Waiting Period

Means the number of hours specified in Item 5 of the Declarations.

War

Means the use of physical force by a sovereign state against another sovereign state, or as part of a civil war, rebellion, revolution, insurrection, or military or usurped power, whether **war** be declared or not.

Section III. Exclusions

This Policy does not apply to any **claim**, **loss**, or any other amounts based upon, arising out of, or attributable to:

A. Bodily Injury

Any physical injury, sickness, disease, mental anguish, emotional distress, or death of any person. However, this exclusion will not apply to any **claim** for mental anguish or emotional distress under Section I.M. Network Security and Privacy Liability and Section I.R. Media Liability.

B. Contractual Liability

Any liability or obligation an **Insured** has under any contract, warranty or guarantee.

However, this exclusion will not apply to:

1. liability **you** would have in the absence of such contract, warranty or guarantee;
2. **your** obligations to maintain the confidentiality or security of **personally identifiable information** or **third party corporate information**;
3. with respect to a **privacy liability**, any failure to comply with the **Insured Organization's Privacy Policy**;
4. with respect to the coverage provided by Section I.Q. Technology Errors and Omissions, any unintentional breach of a contractual obligation to provide **technology services** or **technology products**; or
5. coverage provided by Section I.O. PCI Fines and Assessments.

C. Critical Infrastructure

Failure, interruption, or malfunction of any:

1. electrical, mechanical, telecommunications, internet, or satellite infrastructure;
2. utility, including without limitation electricity, power, oil, gas, and water; or
3. financial markets infrastructure, including but not limited to securities or exchange markets;

that is not under the direct operational control of the **Insured Organization**.

D. Employment Practices and Discrimination

Any actual or alleged:

1. discrimination of any kind; or
2. employer-employee relations, policies, practices, acts, or omissions, including but not limited to any wrongful dismissal, discharge or termination, discrimination, harassment, retaliation or other employment-related claim.

However, part 2 of this exclusion will not apply to:

- i. any **claim** under Section I.M. Network Security and Privacy Liability, brought by or on behalf of any individual who is or was employed by the **Insured Organization**; or
- ii. the coverage provided under Section I.B. Breach Response Costs, or Section I.A. Rapid Response Services.

E. Fraud by a Senior Executive

Any dishonest, fraudulent, criminal, or malicious act or omission or any intentional or knowing violation of the law by any **senior executive** or carried out with the knowledge of any **senior executive**.

However, this exclusion will not apply to **claim expenses** incurred in defending any **claim** alleging the foregoing until and unless a final, non-appealable adjudication in the underlying action establishes such conduct, at which time the **Named Insured** will reimburse us for all **claim expenses** we incurred or paid in defending such **claim**.

Provided that:

1. no conduct or knowledge pertaining to any natural person **insured** will be imputed to any other natural person **insured**; and
2. any conduct or knowledge of a **senior executive** will be imputed to the **Insured Organization**.

F. Governmental Action

The seizure, confiscation, nationalization, requisition, destruction of, or damage to any property, computer systems, software, or electronic data by order of any governmental or public authority.

G. Insured v. Insured and Related Entities

Any **claim** made by or on behalf of:

1. an **insured**; however, part 1 of this exclusion will not apply to a **claim** made by:
 - a. a natural person **insured** arising from a **security failure** or **data breach**; or
 - b. an **additional insured**.
2. any business enterprise in which **you** have greater than a 20% ownership interest, or by any parent company or other entity that owns more than 20% of any **Insured**.

H. Intellectual Property

Any actual or alleged infringement, violation, or misappropriation of any:

1. patent or patent right;
2. copyright (including copyright of software), trademark, trade dress, trade name, service mark, or any other intellectual property right; or
3. trade secret.

However:

- i. part 2 of this exclusion will not apply to any **claim** under Section I.R. Media Liability for a **media wrongful act**;
- ii. part 2 of this exclusion will not apply to any **claim** under Section I.Q. Technology Errors and Omissions for a **technology wrongful act** based upon the infringement of software copyright; and
- iii. part 3 of this exclusion will not apply to any **claim** under Section I.M. Network Security and Privacy Liability for a **security failure** involving **third party corporate information**.

I. Natural Disaster

Any physical event or natural disaster, including but not limited to fire, flood, earthquake, volcanic eruption, explosion, lightning, solar flare, wind, hail, tidal wave, and landslide.

J. Nuclear

Any exposure or threatened exposure to any radioactive matter or any form of radiation or contamination by radioactivity from any source, including any nuclear reaction, nuclear radiation, or radioactive contamination arising from nuclear fuels, waste, or the combustion or ignition of nuclear fuel.

K. Pollution

1. any actual or alleged threatened discharge, dispersal, seepage, migration, release, emission, escape or transportation of **pollutants**; or

2. any request, direction, demand, or order to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize **pollutants**, or in any way respond to or assess the effects of **pollutants**.

L. Prior Acts

Any **event**, act, error, or omission that occurred prior to the **retroactive date**, or any related or continuing **events**, acts, errors, or omissions where the first such **event**, act, error, or omission first occurred prior to the **retroactive date**.

M. Prior Knowledge

1. any **event**, act, error, or omission, that on or before the **continuity date**, any **senior executive** knew or could have reasonably foreseen might be the basis of a **claim** or **loss** under this Policy; or
2. any **claim**, **event**, or circumstance which has been the subject of a notice that has been provided under any prior policy of which this Policy is a renewal or replacement.

N. Property Damage

Any injury or damage to, destruction, impairment, or loss of use of any tangible property.

However, this exclusion will not apply to coverage under Section I.D. Data Recovery and Computer Replacement Costs for the loss of use of tangible property that has been bricked or to **funds transfer loss** under Section I.I. Funds Transfer Fraud and Social Engineering.

O. Recall

Any costs, fees, or expenses to withdraw, recall, remove, repair, replace, or dispose of any **technology products**, or any products that contain or incorporate the results of **technology services**.

P. Securities

1. any actual or alleged violation of any securities laws, including the Securities Act of 1933, the Securities Exchange Act of 1934, the Investment Company Act of 1940, or any other local, state, federal or foreign securities laws, including any amendments thereto;
2. the ownership, sale or purchase of, or the offer to sell or purchase securities; or
3. a shareholder derivative demand or action alleging, based upon, or arising out of a breach of duty by any director or officer.

However, part 1 of this exclusion will not apply to any:

- i. **claim** against **you** alleging a **data breach** or **privacy liability** in violation of the Securities and Exchange Commission (SEC) regulation S-P (17 C.F.R. § 248); or
- ii. **SEC cybersecurity disclosure costs** covered under Section I.B. Breach Response Costs.

Q. Theft and Loss of Funds

Any actual or alleged theft, loss or transfer of money, securities, digital currencies, digital financial assets (including non-fungible tokens (NFT) and crypto assets) or tangible property.

However, this exclusion will not apply to the coverage provided under Sections I.I. Funds Transfer Fraud and Social Engineering, I.K. Impersonation Repair, I.L. Invoice Manipulation, and I.P. Funds Transfer Liability.

R. Unauthorized Tracking

Any actual or alleged wrongful, unlawful or unauthorized use of any web beacons, tracking pixels, or software tools by **you** or on **your** behalf, that collects, tracks, records, shares, or sells an individual's activity, information, data, or **personally identifiable information**.

S. Unfair Business Practices

Any actual or alleged:

1. false, deceptive, unlawful, anti-competitive, or unfair trade practices;
2. misleading, false or deceptive advertising, or any inaccurate, inadequate, or incomplete description of the price of any goods, products, or services; or

3. price fixing, restraint of trade, monopolization, or violation of the Sherman Antitrust Act, the Clayton Act, the Robinson-Patman Act, or any similar law.

However, part 1 of this exclusion does not apply to any **claim** under Section I.N. Regulatory Actions.

T. Unlawful Acts

Any actual or alleged violation of:

1. the Employee Retirement Income Security Act of 1974 (ERISA);
2. the Organized Crime Control Act of 1970 (RICO);
3. the Biometric Information Privacy Act (BIPA);
4. the Controlling the Assault of Non-Solicited Pornography and Marketing Act of 2003 (CAN-SPAM);
5. the Telephone Consumer Protection Act (TCPA); or
6. any similar local, state, federal, common, or foreign law to the laws specified in 1 through 5 above.

U. War

Any:

1. **war**;
2. a **cyber operation** that is carried out as part of a **war**; or
3. a **cyber operation** that causes a sovereign state to become an **impacted state**.

However, part 3 of this definition shall not apply to the direct or indirect effect of a **cyber operation** on a “computer system” used by the **insured** or its third party service providers that is not physically located in an **impacted state** but is affected by a **cyber operation**.

For the purposes of applying this exclusion, “computer systems” means any computers and related peripheral components (including Internet of Things (IoT) devices), systems and applications software, terminal devices, related communications networks, mobile devices (handheld and other wireless computing devices), and storage and back-up devices.

Notwithstanding our burden of proof, which shall remain unchanged by this clause, in determining attribution of a **cyber operation** to a sovereign state, the **insured** and we will consider such objectively reasonable evidence that is available to them. This may include formal or official attribution to another sovereign state (including those acting at its direction or under its control) by the government of the sovereign state in which the computer system affected by the **cyber operation** is physically located.

Section IV. Limits, Retentions, and Waiting Period

A. Aggregate Policy Limit of Liability

The Aggregate Policy Limit of Liability specified in Item 4.A of the Declarations is the maximum amount we will pay for all **loss** covered under this Policy.

B. Per Event Limit of Liability

The Per Event Limit of Liability specified in Item 4.B of the Declarations is the maximum amount we will pay for all **loss** arising from a single **event** under all Insuring Agreements, regardless of the number of Insuring Agreements triggered, **claims** made, or **insureds** implicated. The Per Event Limit of Liability is part of, and not in addition to, and does not increase, the applicable Limit(s) of Insurance or the Aggregate Policy Limit of Liability.

C. Optional Separate Limit of Liability for Breach Response Costs

If coverage is triggered under Section I.B. Breach Response Costs, and the Optional Separate Limit of Liability for Breach Response Costs has been elected in Item 4.C of the Declarations, then, notwithstanding Section IV.A. Aggregate Policy Limit of Liability, the Limit specified in Item 5.B Breach Response Costs will not be subject to the Aggregate Policy Limit of Liability specified in Item 4.A of the

Declarations or the Per Event Limit of Liability specified in Item 4.B of the Declarations. Instead, coverage for **breach response costs** under Section I.B. Breach Response Costs will be in addition to the Aggregate Policy Limit of Liability and not subject to the Per Event Limit of Liability.

Upon exhaustion of the Limit specified in Item 5.B Breach Response Costs, there will be no further coverage under this Policy for **breach response costs**.

D. Insuring Agreement Limit(s)

The Limit stated in Item 5 of the Declarations with respect to an Insuring Agreement is the maximum amount we will pay for all **loss** covered under that Insuring Agreement. Such limits are part of, and not in addition to, the Aggregate Policy Limit of Liability

Provided, however, that if the Optional Separate Limit of Liability for Breach Response Costs has been elected in Item 4.C of the Declarations, then the Limit specified in Item 5.B Breach Response Costs will not be subject to the Aggregate Policy Limit of Liability and instead will be in addition to the Aggregate Policy Limit of Liability.

E. Rapid Response Services

Rapid response services do not erode the Aggregate Policy Limit of Liability.

However, services provided by Coalition Incident Response (or any **panel provider** if Coalition Incident Response is unavailable) under Section I.A. Rapid Response Services, part 3, are limited to the initial response to an actual or suspected **security failure, data breach, cyber extortion, funds transfer fraud, or impersonation fraud**, and shall not exceed 2 hours. Any ongoing assistance thereafter will be considered **breach response costs** and are subject to the applicable limits of liability.

F. Retentions

1. We will only be liable for amounts payable under this Policy that exceed the applicable retention(s). The retention cannot be insured. Provided, however, the Retention applicable to Section I.I. Funds Transfer Fraud and Social Engineering can be satisfied by the payment of covered **funds transfer loss** paid to the **Named Insured** under a commercial crime policy or any other insurance policy, provided that the applicable limit of liability of such policy is exhausted by the payment of **funds transfer loss**.
2. If any **loss** amounts arising out of a **claim** or **event** are subject to more than one retention, the retention for each applicable insuring agreement will apply separately. However, the total of these retention amounts will not exceed the largest applicable retention amount.
3. If **you** choose to use Coalition Incident Response for computer forensic professional services, and Coalition Incident Response is available to provide such services, then any fees, costs, and expenses from Coalition Incident Response that result in covered **breach response costs** under this Policy will not be subject to any retention.

G. Waiting Period

For Sections I.E. Direct Business Interruption and I.F. Contingent Business Interruption, once the **waiting period** (or **reduced waiting period**, if applicable) is satisfied, we will pay the covered **loss** from the start of the **waiting period** (or **reduced waiting period**, if applicable), subject to the applicable retention.

Section V. Claims

A. Defense

We have the right and duty to defend any **claim** made against **you** under any Third Party Insuring Agreement even if the allegations are groundless, false, or fraudulent.

Our duty to defend ends once the applicable Limit of Liability is exhausted or upon depositing the remaining amount of the applicable Limit of Liability in a court of competent jurisdiction. After such payment, we have the right to withdraw from the defense of the **claim**.

B. Choice of Counsel

You have the right to select defense counsel from our list of **panel providers**.

If **you** wish to select defense counsel that is not one of our **panel providers**, such counsel: (i) must be mutually agreed upon by **you** and us; and (ii) will be subject to a fee rate structure substantially similar to that of our **panel providers**. In the absence of such agreement, we will select defense counsel.

C. Settlement

We will not settle any **claim** without **your** written consent. However, if **you** refuse to consent to a settlement recommended by us and acceptable to the claimant, our liability for such **claim** will not exceed:

1. the amount for which such **claim** could have been settled, less the retention, plus **claim expenses** incurred up to the time of refusal; and
2. 80% of **claim expenses** incurred after **you** refused the settlement, plus 80% of **damages**, **regulatory loss**, or **funds transfer liability loss** that exceed the amount for which the **claim** could have been settled.

We reserve the right to withdraw from further defense of the **claim** by tendering control of the defense to **you**.

You may settle any **claim** without our consent where the total **damages**, **claim expenses**, and **loss** does not exceed the remaining amount of the applicable retention, provided the entire **claim** is resolved and **you** obtain a full release on behalf of all **Insureds** and from all claimants.

Section VI. Your Obligations

A. When There Is a Claim or Incident

As a condition precedent to coverage under this Policy, **you** must provide us written notice of any **claim** or **incident** through the contacts listed in Item 8 of the Declarations as soon as practicable after such **claim** or **incident** is known to any **senior executive**. In no event will this notice to us be later than 60 days after the end of the **policy period** or termination of this Policy, whichever is earlier.

Provided, however, that if the **Named Insured** purchases an Optional Extended Reporting Period, all **claims** made during such Optional Extended Reporting Period must be reported to us no later than the expiration of the Optional Extended Reporting Period.

B. Notice of Circumstances

If, during the **policy period**, **you** first become aware of circumstances that could reasonably be expected to give rise to a future **claim** covered under this Policy, **you** may provide written notice to us through the contacts listed in Item 8 of the Declarations during the **policy period**, of:

1. a detailed description of the circumstances, including the reasons for anticipating the **claim** and any relevant dates, persons, and entities involved;
2. the identity of potential claimants;
3. details of how **you** first became aware of the circumstances; and
4. the nature of the potential damage.

Any **claim** subsequently arising out of the circumstances reported under this Section will be deemed to have been made at the time we first received notice of such circumstances.

C. Law Enforcement Cooperation

If **you** receive an authorized order from a law enforcement or governmental authority to maintain the confidentiality of certain information about an actual or reasonably suspected **incident**, then notice to us of such **incident** will be considered timely under Section VI.A. When There Is a Claim or Incident, provided that:

1. a **senior executive** requests permission from the law enforcement or governmental authority to share the information with us as soon as practicable after receiving the order;
2. **you** withhold from us only the portion of information **you** are instructed not to share by the authority; and
3. **you** provide us full notice of the **incident** as soon as **you** are legally permitted to do so.

D. Duty to Cooperate

You will cooperate with us in all investigations related to this Policy, responding to reasonable requests for information (including forensic investigations and reports), executing necessary documents, and assisting as requested. **You** will refrain from any action or conduct that increases our exposure under this Policy. Additionally, **you** will cooperate with us and counsel in defending all **claims** and responding to all **events**, including attending any hearings, depositions, trials and other proceedings, securing and providing evidence (including the attendance of witnesses), enforcing any right to contribution or indemnity against a third party which may be liable to **you**, and providing all information necessary for appropriate and effective representation.

E. Proof of Loss

1. For Business Interruption and Cyber Crime Coverages, **you** must complete and sign a written, detailed, and affirmed proof of loss within 90 days of notifying us of a **loss** (unless extended by us in writing). This must include:
 - a. a full description of the circumstances, including the time, place, and cause of the **loss**; and
 - b. a detailed calculation of any **loss**, and all underlying documents and materials that relate to or form part of the proof of such **loss**.
2. We will pay **proof of loss preparation expenses** up to the Limit stated in Item 5 of the Declarations. Any other costs **you** incur in connection with establishing or proving **loss** are not covered under this Policy.
3. Regarding the verification of **loss** under Business Interruption and Cyber Crime Coverages, **you** agree to allow us to examine and audit **your** books and records related to this Policy at any time during the **policy period** and up to 12 months following our receipt of any proof of loss in accordance with this Section.

F. Obligation to Not Incur Expense or Admit Liability

You will not admit or assume any liability, make any payment, assume any obligation, incur any expense, make any offer to negotiate or terminate a **cyber extortion**, enter into any settlement (except as specifically provided in Section V.C. Settlement), stipulate to any judgment or award, or dispose of any **claim** without our prior written consent.

G. Subrogation

We will be subrogated to all **your** rights of recovery regarding any payment of **loss** under this Policy. **You** will take all reasonable steps to fully secure and preserve these subrogation rights, including executing any documents necessary for us to bring suit in **your** name. **You** will not do anything to prejudice our position or any rights of recovery. However, the obligation to preserve our right of subrogation will not apply if the **Insured** has agreed in a written contract with any person or entity, to waive the right of recovery against a person or entity, provided that such contract was executed before the **event** giving rise to a **claim** or **loss**.

H. Recovery

All recoveries from any third parties (made by either **you** or us) for payments made under this Policy, after first deducting the costs and expenses incurred in obtaining such recovery, will be applied in the following order of priority:

1. first, to the **Named Insured** to reimburse the **Insured** for **loss** sustained that would have been covered under this Policy but for the fact that the **loss** was in excess of the applicable limit(s);

2. second, to us, to reimburse us for any amounts we paid under this Policy; and
3. third, to the **Named Insured** in recognition of the retention paid.

I. Authorization of Named Insured

It is agreed that the **Named Insured** will act on behalf of all **insureds** regarding the notice of a **claim**, providing and receiving of notice of cancellation and nonrenewal, payment of premiums and receipt of any return premiums that may become due under this Policy, receipt and acceptance of any endorsements issued to form a part of this Policy, exercising or declining of the right to tender the defense of a **claim** to us, and exercising or declining to exercise of any right to an Optional Extended Reporting Period. Where there is more than one **Named Insured** specified in Item 1 of the Declarations or by endorsement to this Policy, then for the purpose of this clause only, the **Named Insured** is deemed to be the first entity specified under Item 1 of the Declarations.

Section VII. Cancellation and Nonrenewal

A. Cancellation by the Insurer

We may only cancel this Policy for non-payment of premium by providing the **Named Insured** with written notice of cancellation at least ten (10) days prior to the effective date of cancellation. Where permitted by applicable law, this notice may be delivered electronically. Mailing or electronic transmission of the notice, where allowed, will serve as sufficient proof of notice, and this Policy will terminate as specified in the notice.

B. Cancellation by the Named Insured

The **Named Insured** may cancel this Policy by providing us with written notice stating the effective date of cancellation. In such an event, we will refund to **you** the unearned premium calculated on a pro-rata basis.

C. Nonrenewal

We are not obligated to renew this Policy.

Section VIII. Optional Extended Reporting Period

For Third Party Liability Coverages, if this Policy is canceled or non-renewed, other than for non-payment of premium, the **Named Insured** has the right to purchase an Optional Extended Reporting Period under this Policy for:

1. one year for an additional premium of 100% of the total annual premium;
2. two years for an additional premium of 125% of the total annual premium;
3. three years for an additional premium of 150% of the total annual premium;
4. four years for an additional premium of 175% of the total annual premium; or
5. five years for an additional premium of 200% of the total annual premium.

The **Named Insured's** right to purchase the Optional Extended Reporting Period must be exercised in writing no later than 60 days after the effective date of cancellation or nonrenewal of this Policy, and must include payment of the additional premium due for the applicable Optional Extended Reporting Period, as well as payment of any other premiums due to us. If we do not receive this written notice together with the additional premium due, the **Named Insured** will not be able to exercise this right at a later date.

The Optional Extended Reporting Period applies only to **claims** first made against **you** during the Optional Extended Reporting Period arising out of any act, error, or omission committed on or after the **retroactive date** and before the end of the **policy period** (or, if applicable, before the effective date of the Change in Control in Section IX.A. Change in Control), subject to the Retention, Limits of Liability, exclusions, conditions, and other terms of this Policy. **Claims** made during any applicable Optional Extended

Reporting Period must be reported to us no later than the expiration of the Optional Extended Reporting Period.

The additional premium for the Optional Extended Reporting Period will be deemed fully earned at the start of the Optional Extended Reporting Period. An Optional Extended Reporting Period cannot be canceled, and we will not be liable to return any portion of the additional premium for the Optional Extended Reporting Period.

The fact that the time to report **claims** under this Policy may be extended by virtue of an Optional Extended Reporting Period will not increase the Limits of Liability, and any amounts incurred during the Optional Extended Reporting Period will be part of, and not in addition to, the Limits of Liability stated in the Declarations.

Section IX. Other Provisions

A. Change in Control

If during the **policy period**:

1. the **Named Insured**:
 - a. merges into or consolidates with another entity, so that the **Named Insured** is not the surviving entity; or
 - b. sells more than 50% of its assets to another entity, so the **Named Insured** is not the surviving entity; or
2. any entity, person, or group of affiliated entities or persons acting in concert acquire **management control** of the **Named Insured**;

(both parts 1 and 2 specified above referred to as a “Change in Control”), then this Policy will remain in force until the end of the **policy period**, but will only cover **events**, acts, errors, or omissions that first occurred before the Change in Control. There will be no coverage provided by this Policy for any **event**, act, error, or omission occurring after the Change in Control. The **Named Insured** must provide written notice of a Change in Control to us as soon as practicable, but no later than 30 days after the Change in Control. Upon the effective date of the Change in Control, the full premium for this Policy will be considered fully earned.

This provision may be waived in writing by us.

B. Subsidiary Status

Coverage for a **subsidiary** acquired during the **policy period** applies as follows:

1. for Third Party Liability Coverages, only for acts, errors, omissions, or **events** that occurred on or after the date the **Named Insured** gained **management control** over the **subsidiary**;
2. for Active Risk Control and Cyber Crime Coverages, only for **incidents** first discovered by **you** on or after the date the **Named Insured** gained **management control** over the **subsidiary**; and
3. for Business Interruption Coverages, only for **incidents** that first occurred and are first discovered by **you** on or after the date that the **Named Insured** obtained **management control** over such **subsidiary**.

If, during the **policy period**, an entity ceases to be a **subsidiary**, then coverage for such entity will remain in force under this Policy, subject to the following conditions:

- i. for Third Party Liability Coverages, only for acts, errors, omissions, or **events** that first occurred prior to the date such entity ceased to be a **subsidiary**;
- ii. for Active Risk Control and Cyber Crime Coverages, only for **incidents** first discovered by **you** prior to the date such entity ceased to be a **subsidiary**; and
- iii. for Business Interruption Coverages, only for **incidents** that first occurred and are first discovered by **you** prior to the date such entity ceased to be a **subsidiary**.

C. Choice of Law

Any disputes involving this Policy will be resolved applying the law specified in Item 11 of the Declarations, without reference to that jurisdiction's choice of law principles.

D. Dispute Resolution

If any dispute arises out of the rights and obligations owed under this Policy, or the breach thereof, we and the **Named Insured** agree to participate in a non-binding mediation in which the parties will attempt in good faith to settle such dispute in accordance with the commercial mediation rules of the American Arbitration Association ("AAA") in effect at the time of the dispute. If such non-binding mediation does not result in a settlement of the dispute, then after 60 days following termination of the non-binding mediation, either party may:

1. commence a judicial proceeding; or
2. with the consent of the other party, commence an arbitration proceeding in accordance with the commercial arbitration rules of the AAA in effect at the time of the dispute. The decision of the arbitrator will be final and binding, and any award may be confirmed and enforced in a court of competent jurisdiction.

E. No Assignment

No change, modification, or assignment of interest under this Policy will be effective except when made by a written endorsement to this Policy which is signed by us.

F. Non-Permissible Insurance

Where we may not permissibly insure any entity that falls within the definition of an **insured** under this Policy, solely by virtue of the entity's domicile (or deemed location of risk for regulatory purposes), we will indemnify the **Named Insured** in respect of any **loss** to its insurable financial interest in such uninsured entity by way of agreed valuation calculated as the amount that we would have been liable to pay such uninsured entity for the applicable **loss** under the terms and conditions of this Policy had it been permissible to insure such uninsured entity.

G. Prevention and Mitigation Costs

If **you** provide notice of an **incident** under Section VI.A. When There Is a Claim or Incident, or a notice of circumstances under Section VI.B. Notice of Circumstances, and **you** request assistance from us to help **you** prevent or mitigate a potential future **claim** or potential **loss** resulting from the **incident**, we may, in our sole discretion, agree to pay up to the amount specified in Item 6 of the Declarations for:

1. with respect to a notice of circumstances under Section VI.B. Notice of Circumstances, legal, forensic, and IT services; or
2. with respect to notice of an **incident** under Section VI.A. When There Is a Claim or Incident, forensic and IT services.

If provided, such services will be rendered by a vendor or firm we have mutually agreed upon.

H. Other Insurance

Except for Sections I.A. Rapid Response Services and I.B. Breach Response Costs, which operate as primary insurance, this Policy applies in excess of, and will not contribute with, any other valid and collectible insurance including the self-insured retention or deductible portion thereof, unless such other insurance is specifically written only to apply excess of this Policy.

I. Territory

This Policy applies to **events** occurring, **claims** made, and **losses** incurred, anywhere in the world.

J. Titles

The titles and headings of the various sections, subsections, and endorsements of this Policy are included solely for ease of reference and do not limit coverage, expand coverage, or otherwise affect the provisions of these sections, subsections, or endorsements.



K. Sanctions

This Policy does not apply to the extent that trade or economic sanctions, or other laws or regulations, prohibit us from providing insurance, including but not limited to the payment of **loss**.

L. Prior Consent

We agree that whenever our consent is required by any provision of this Policy, our consent shall not be unreasonably withheld.



ENDT NO.: 1

QUOTA SHARE ENDORSEMENT

Effective Date of Endorsement	January 01, 2026
Named Insured	Foundation for Free Enterprise Education
Policy Number	C-4LPY-051792-CYBER-2026
Issued by (Name of Insurance Company)	Arch Specialty Insurance Company, Aspen Specialty Insurance Company, Fireman's Fund Indemnity Corporation, Fortegra Specialty Insurance Company, Vantage Risk Specialty Insurance Company

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Coalition Active Cyber Policy

This Policy is issued on a quota share basis. Each insurer will be responsible for payment of a certain percentage share of the Limits of Liability as specified in the Declarations for this Policy as follows:

Quota Share Percentage of each insurer:

Arch Specialty Insurance Company 30%
Aspen Specialty Insurance Company 10%
Fireman's Fund Indemnity Corporation 20%
Fortegra Specialty Insurance Company 35%
Vantage Risk Specialty Insurance Company 5%

The quota share insurers' obligations to you under this Policy are several and not joint and are limited solely to the extent of their individual quota share percentage. The quota share insurers are not responsible for the obligations of any quota share insurer who for any reason does not satisfy all or part of its obligations. None of the quota share insurers has a duty to pay before any of the other quota share insurers. **Claim expenses** are part of and not in addition to the Limits of Liability.

Provided that:

1. The collective liability of the insurers shall not exceed the Aggregate Policy Limit of Liability as specified in Item 4.A. of the Declarations.
2. The Limit of Liability of each of the insurers individually shall be limited to the pro rata percentage of liability set opposite its name.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.



ENDT NO.: 2

SERVICE OF SUIT ENDORSEMENT

Effective Date of Endorsement	January 01, 2026
Named Insured	Foundation for Free Enterprise Education
Policy Number	C-4LPY-051792-CYBER-2026
Issued by (Name of Insurance Company)	Arch Specialty Insurance Company, Aspen Specialty Insurance Company, Fireman's Fund Indemnity Corporation, Fortegra Specialty Insurance Company, Vantage Risk Specialty Insurance Company

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Coalition Active Cyber Policy

In consideration of the premium charged for this Policy, it is hereby understood and agreed that in the event we fail to pay any amount claimed to be due hereunder, we, at the request of the **Named Insured**, will submit to the jurisdiction of a court of competent jurisdiction within the United States of America. The foregoing shall not constitute a waiver of the right by us to remove, remand, or transfer such suit to any other court of competent jurisdiction in accordance with the applicable statutes of the state of United States pertinent hereto. In any suit instituted against us upon this contract, we will abide by the final decision of such court or of any appellate court in the event of an appeal.

It is further agreed that service of process in such suit may be made upon the Superintendent, Commissioner, or Director of Insurance or other person specified for that purpose in the Statute or his successor or successors in office as their true and lawful attorney upon whom may be served any lawful process in any action, suit, or proceeding instituted by or on behalf of the **Named Insured** or any beneficiary hereunder arising out of this contract of insurance.

We hereby designate the President of Arch Specialty Insurance Company, One Liberty Plaza, 53rd Floor, New York, NY 10006, as the person to whom the said Superintendent, Commissioner, or Director of Insurance is authorized to mail such process or a true copy thereof, in compliance with the applicable statutes governing said service of process in the state or jurisdiction in which a cause of action under this contract of insurance arises.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.



ENDT NO.: 3

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

Effective Date of Endorsement	January 01, 2026
Named Insured	Foundation for Free Enterprise Education
Policy Number	C-4LPY-051792-CYBER-2026
Issued by (Name of Insurance Company)	Arch Specialty Insurance Company, Aspen Specialty Insurance Company, Fireman's Fund Indemnity Corporation, Fortegra Specialty Insurance Company, Vantage Risk Specialty Insurance Company

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Coalition Active Cyber Policy

In consideration of the premium charged for this Policy, it is hereby understood and agreed that:

Certified Acts of Terrorism

If aggregate insured losses attributable to terrorist acts certified under the federal Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we will not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

"Certified Act of Terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a certified act of terrorism include the following:

1. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for **damages** or **loss** that is otherwise excluded under this Policy.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.



ENDT NO.: 4

DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT

Effective Date of Endorsement	January 01, 2026
Named Insured	Foundation for Free Enterprise Education
Policy Number	C-4LPY-051792-CYBER-2026
Issued by (Name of Insurance Company)	Arch Specialty Insurance Company, Aspen Specialty Insurance Company, Fireman's Fund Indemnity Corporation, Fortegra Specialty Insurance Company, Vantage Risk Specialty Insurance Company

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Coalition Active Cyber Policy

In consideration of the premium charged for this Policy, it is hereby understood and agreed that:

DISCLOSURE OF TERRORISM RISK INSURANCE ACT PREMIUM

In accordance with the federal Terrorism Risk Insurance Act, we are required to provide **you** with a notice disclosing the portion of **your** premium, if any, attributable to coverage for terrorist acts certified under the Terrorism Risk Insurance Act. The portion of **your** premium attributable to such coverage, if any, is shown in the Policy Declarations.

The United States Government, Department of the Treasury will pay a share of terrorism losses insured under the federal program. The federal share equals 80% of the amount of such insured losses that exceeds the applicable insurer retention.

However, if aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year, the Treasury will not make any payment for any portion of the amount of such losses that exceeds \$100 billion.

If aggregate insured losses attributable to terrorist acts certified under the federal Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we will not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.



ENDT NO.: 5

PENNSYLVANIA CHANGES

Effective Date of Endorsement	January 01, 2026
Named Insured	Foundation for Free Enterprise Education
Policy Number	C-4LPY-051792-CYBER-2026
Issued by (Name of Insurance Company)	Arch Specialty Insurance Company, Aspen Specialty Insurance Company, Fireman's Fund Indemnity Corporation, Fortegra Specialty Insurance Company, Vantage Risk Specialty Insurance Company

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Coalition Active Cyber Policy

In consideration of the premium charged for this Policy, it is hereby understood and agreed that:

Sections VII.A. Cancellation by the Insurer and VII.C. Nonrenewal are deleted and replaced with the following:

Cancellation and Nonrenewal by the Insurer

We may cancel or elect not to renew this Policy by mailing to the **Named Insured** at the address shown in Item 1 of the Declarations, written notice stating when the cancellation or non-renewal will be effective. Such notice will state "Notice of Cancellation" or "Notice of Non-Renewal" and will specify reasons for the cancellation or non-renewal. Where permitted by applicable law, we may provide such written notice of cancellation or non-renewal by electronic transmission.

The Policy may be cancelled by us for non-payment of premium. Such cancellation will be mailed not less than 15 days thereafter due to non-payment of premium in the same manner as the first paragraph.

This Policy may also be cancelled by us for determination by the Commissioner of Insurance that the continuation of the Policy would jeopardize our solvency or would place us in violation of the insurance laws of this state. If the Policy is cancelled for this reason, we will provide **you** with 30 days notice in the same manner as the first paragraph.

We have no obligation to renew this Policy. If we elect not to renew this Policy, we will mail to **you** written notice of non-renewal at least 60 days prior to the expiration of the **policy period**. The mailing of such notice as aforesaid will be sufficient proof of notice, and this Policy will terminate at the date and hour specified in such notice.

With respect to any increase in premium and any form changes at renewal, we will provide written notice to the **Named Insured** at the address shown in Item 1 of the Declarations, at least 30 days prior to the effective date of the change.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.



ENDT NO.: 6

**SINGLE HIGHEST RETENTION/DEDUCTIBLE ENDORSEMENT/PRO RATA SHARING OF LIMITS
COALITION PREFERRED - CYBER & EXECUTIVE RISK**

Effective Date of Endorsement	January 01, 2026
Named Insured	Foundation for Free Enterprise Education
Policy Number	C-4LPY-051792-CYBER-2026
Issued by (Name of Insurance Company)	Arch Specialty Insurance Company, Aspen Specialty Insurance Company, Fireman's Fund Indemnity Corporation, Fortegra Specialty Insurance Company, Vantage Risk Specialty Insurance Company

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Coalition Active Cyber Policy

In consideration of the premium charged for this Policy, it is hereby understood and agreed that:

1. Notwithstanding any provision to the contrary in this Policy (including any endorsement added thereto), Section IV.F. Retentions is amended to add the following new sections:

If:

- a. the **Named Insured** has been issued a Coalition Executive Risks Policy with Limits of Liability provided under the Crime Coverage Part (Form Number: ERUSP-00PF-0923-C1); and
- b. this Coalition Active Cyber Policy and the Coalition Executive Risks Policy both provide coverage for the same **loss** covered under Insuring Agreement I. Funds Transfer Fraud and Social Engineering of this Policy, then only a single Retention/Deductible will apply to such matter and that Retention/Deductible will be the higher of the Retentions/Deductibles applicable under the Coalition Active Cyber Policy and the Coalition Executive Risks Policy.

2. Solely with respect to the coverage provided by this Endorsement, the following is added to Section IX. H. Other Provisions, Other Insurance:

In the event coverage is afforded for the same matter as described in part 1.b. of this Endorsement, then coverage will be afforded on a pro rata basis according to the ratio each policy's respective limit or sublimit bears to the total Limit of Liability for such matter.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.



ENDT NO.: 7

COALITION ACTIVE INSURED – VANISHING RETENTION ENDORSEMENT

Effective Date of Endorsement	January 01, 2026
Named Insured	Foundation for Free Enterprise Education
Policy Number	C-4LPY-051792-CYBER-2026
Issued by (Name of Insurance Company)	Arch Specialty Insurance Company, Aspen Specialty Insurance Company, Fireman's Fund Indemnity Corporation, Fortegra Specialty Insurance Company, Vantage Risk Specialty Insurance Company

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Coalition Active Cyber Policy

In consideration of the premium charged for this Policy, it is hereby understood and agreed that:

1. If **you** are an **active insured**, then **you** are eligible for a **vanishing retention benefit**.
2. Section II. Definitions is amended to add the following definitions:

Active Insured means that:

1. within 30 days following the inception date of each applicable **prior policy(ies)** and this Policy, **you**:
 - a. accessed **Coalition Control** and provided therein current contact information for both the **Named Insured** and the **Named Insured's** IT/Security User; and
 - b. provided in **Coalition Control** or by email to us, a complete and current Coalition Ransomware Supplemental Application (the "RSA") (or another application containing, at a minimum, the information requested in the RSA); and
2. **you** remediated all **critical security vulnerabilities**:
 - a. within 30 days following notification of such vulnerabilities to **you**; or
 - b. pursuant to an alternative remediation approach, date, or both, approved in writing by us.

Vanishing Retention Benefit means:

1. a 25% reduction in the applicable Retention appearing in this Policy to the first covered **claim** or **incident** reported under this Policy (regardless of the number of **claims, incidents, or insureds**), if, at the time such **claim** or **incident** is reported, **you** had continuously maintained **active insured** status: (i) for 12 consecutive months under a **prior policy** immediately preceding this Policy; and (ii) under this Policy;
2. a 50% reduction in the applicable Retention appearing in this Policy to the first covered **claim** or **incident** reported under this Policy (regardless of the number of **claims, incidents, or insureds**), if, at the time such **claim** or **incident** is reported, **you** had continuously maintained **active insured** status: (i) for 24 consecutive months under the **prior policies** immediately preceding this Policy; and (ii) under this Policy; or
3. a 100% reduction in the applicable Retention appearing in this Policy to the first covered **claim** or **incident** reported under this Policy (regardless of the number of **claims, incidents, or insureds**), if, at the time such **claim** or **incident** is reported, **you** had continuously maintained **active insured** status: (i) for 36 consecutive months or more under the **prior policies** immediately preceding this Policy; and (ii) under this Policy.



Provided, however, the **vanishing retention benefit** described in parts 1-3 above is subject to a maximum reduction of \$25,000, and shall only apply if: (i) the **Named Insured's** annual ratable revenue provided in the **application** for this Policy did not exceed \$100,000,000; and (ii) we have not paid a total **loss** amount in excess of \$25,000 under the immediately preceding **prior policy** of which this Policy is a renewal thereof.

Critical Security Vulnerabilities means any security vulnerability that: (i) we identified and communicated to **you** via email, phone, or within **Coalition Control** as a "critical" security vulnerability; and (ii) for which we have provided **you** with instructions on how to remediate.

Notice given by us to **you** of a **critical security vulnerability**, via email, phone or within **Coalition Control** as set out above, will be sufficient proof of **your** receipt of notice of such **critical security vulnerability**.

Prior Policy(ies) means the prior Coalition Cyber or Coalition Active Cyber Policy(ies) we issued to the **Named Insured** with an inception date on or after April 15, 2024.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.



ENDT NO.: 8

RENEWAL LIBERALIZATION CLAUSE ENDORSEMENT

Effective Date of Endorsement	January 01, 2026
Named Insured	Foundation for Free Enterprise Education
Policy Number	C-4LPY-051792-CYBER-2026
Issued by (Name of Insurance Company)	Arch Specialty Insurance Company, Aspen Specialty Insurance Company, Fireman's Fund Indemnity Corporation, Fortegra Specialty Insurance Company, Vantage Risk Specialty Insurance Company

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

Coalition Active Cyber Policy

In consideration of the premium charged for this Policy, it is hereby understood and agreed that:

Section IX, Other Provisions is amended to add the following:

Liberalization Clause

This Policy applies only to the Insuring Agreements and coverages purchased by the **Named Insured**, as specified in Item 5 of the Declarations (including any amendments thereto). With respect to any **claim** or **incident** for which this Policy applies, if there are any inconsistencies between any terms or conditions in this Policy and the expiring "Coalition Cyber Policy" (SP 14 798 0419) (including any amendments thereto) issued to the **Named Insured** of which this Policy is the renewal, then those terms and conditions that are more favorable to **you** shall govern such **claim** or **incident**. Provided, however, that in all events, the Aggregate Policy Limit of Liability in Item 4.A, Per Event Limit of Liability in Item 4.B, Insuring Agreement Limits of Liability and Retentions in Item 5, and the endorsement(s) added to this Policy in the Schedule below, shall apply to any **claim** or **incident** for which this Policy applies.

Schedule of Endorsement(s)

N/A

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.